



CUYAHOGA COUNTY 2025 DISPARITY STUDY

Final Summary Report

Prepared for:

Cuyahoga County
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Final Summary Report
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SUMMARY REPORT — Executive Summary

Cuyahoga County seeks to ensure equitable opportunities for small businesses competing for its construction, professional services, goods and other services contracts. These firms include minority- and woman-owned businesses and other historically disadvantaged businesses. The County regularly conducts disparity studies to review whether its efforts to promote fairness in its contracts have been effective.

Keen Independent Research LLC (Keen Independent) conducted this disparity study, which analyzes whether there are disparities in the utilization of minority- and woman-owned businesses (MBE/WBEs) in Cuyahoga County contracts and subcontracts.

Information from disparity studies helps government entities such as the County determine if there are barriers to participation of historically underrepresented firms in their contracts and, if so, what legally defensible actions they can take to address those barriers. The U.S. Supreme Court has set a standard for legal review of race-conscious contract equity programs that allows them only if (a) there is evidence of discrimination affecting those businesses, and if (b) small business enterprise (SBE) programs or other neutral efforts alone are insufficient to address any barriers, and that programs meet other narrow tailoring requirements. These programs cannot be quotas or have unlimited duration. (The full report explains applicable legal standards.)

Keen Independent launched the Disparity Study in September 2024, with a September 2025 completion. An External Stakeholder Group provided input throughout the study.

Utilization, Availability and Disparity Analyses

Keen Independent compared the utilization and availability of minority-owned businesses (MBEs) and woman-owned businesses (WBEs) in County contracts and subcontracts awarded in 2020 through 2024.

- About 21 percent of County contract dollars went to MBE/WBEs.
- Keen Independent identified the Cleveland-Elyria, OH, Metropolitan Statistical Area¹ (“Greater Cleveland area”) as the geographic market area for the study (the region from which the County procures a large share of its contracts).
- Keen Independent analyzed the availability of MBE/WBEs and other firms to perform County contracts and subcontracts based on a survey of companies in this area. MBE/WBEs were about 37 percent of firms indicating qualifications and interest in County contracts and subcontracts.

There was not equal availability of MBE/WBEs for each type and size of County contract. Through a contract-by-contract analysis of firms available to perform specific types and sizes of County contracts and subcontracts, Keen Independent determined that 33 percent of County dollars might go to MBE/WBEs if there were a level playing field.

- MBE/WBE utilization in County contracts overall (21%) was less than expected based on the availability analysis (33%), even with County programs.

¹ Cuyahoga County, Lorain County, Medina County, Lake County, Geauga County and Ashtabula County.

SUMMARY REPORT — Executive Summary

Results by study industry and group. Keen Independent also performed disparity analyses for each MBE/WBE group by industry. There were substantial disparities for Black American-, Hispanic American-, American Indian- and MENA² American-owned firms on County contracts overall, but not for Asian American-owned firms or white woman-owned businesses.

There were substantial disparities in each industry for one or more MBE/WBE groups.

- For construction industry contracts overall, there were substantial disparities for Black American-, American Indian- and MENA American-owned firms, and for Hispanic American- and white woman-owned firms for construction contracts where County programs were not applied.
- For professional services contracts, there were substantial disparities for Black American-, Hispanic American-, American Indian- and MENA American-owned firms.
- On County goods procurements, there were substantial disparities for each MBE and WBE group examined.
- For other services contracts, there were substantial disparities for Black American-, Asian American-, American Indian- and MENA American-owned firms.

Effects of existing efforts. The County operates contract equity programs to help level the playing field for small and diverse businesses in the Greater Cleveland area. Current efforts include a sheltered market program for small businesses, subcontract participation goals for SBEs and for MBE/WBEs, price preferences program for compliant firms and price matching for local businesses. The County also maintains resource and training materials related to public procurement, engages local firms in procurement events and provides procurement forecasts.

The County tracks the application of its subcontract goals program and small business sheltered market program, which together appear to have effectively reduced or eliminated disparities for certain groups on County construction contracts. For County construction contracts where these programs did not apply, there were substantial disparities for each MBE group (except Asian American-owned businesses) and WBEs.

Other Research

Keen Independent performed in-depth interviews with businesses, trade associations and others and examined other data about the Greater Cleveland marketplace, including access to capital. In total, more than 300 business owners and other individuals provided input.

Although certain analyses did not indicate disparities for certain MBE groups or WBEs, and data specifically for MENA American-owned businesses were limited, the quantitative and qualitative research showed an overall pattern of disparities or barriers for firms owned by Black Americans, Asian Americans, Hispanic Americans, American Indians, MENA Americans and women.

² Middle Eastern or North African (MENA).

SUMMARY REPORT — Executive Summary

Conclusions

Cuyahoga County has taken many steps to promote equity in its procurement. The County operates contract equity programs to promote participation of small and diverse businesses on its contracts. These programs include several race- and gender-neutral as well as race- and gender-conscious elements, including a Small Business Set Aside (SBSA) program and SBE, MBE and WBE subcontract goals.

- Although these program elements appear to have been effective in reducing or eliminating disparities for some groups, substantial disparities persist for Black American-, Hispanic American- and American Indian-owned businesses in County contracts. There were also disparities for MENA American-owned companies, which are not currently eligible to be certified as MBEs with the County.
- When Keen Independent examined results for construction contracts for which contract goals and the SBSA program were not applied, there were substantial disparities for Black American-, Hispanic American-, American Indian-, MENA American- and white woman-owned firms.

Cuyahoga County should review all of the results in the disparity study and other information it may have to determine whether a combination of small business programs and other neutral measures supplemented as needed by narrowly-tailored race- and gender-conscious contract goals may be appropriate to remedy the effects of any discrimination in the utilization of minority- and woman-owned businesses in its contracts.

Actions for County Consideration

The County should consider continuing and refining its efforts focused on small businesses, minority- and woman-owned companies, and other firms that may have been affected by discrimination. The final pages of this Summary Report discuss specific actions for County consideration, including sustaining its current efforts. They are summarized below.

1. Establish separate objectives for (A) small business measures and (B) remedial action to address the effects of any discrimination
2. Develop and monitor metrics to gauge success
3. Authorize and develop a full set of tools to address County objectives
4. Authorize and develop a full set of registrations and certifications to address County objectives
5. Provide adequate resources to effectively operate programs

SUMMARY REPORT — Introduction

Background

As part of efforts to ensure equity in its contracting activities, Cuyahoga County commissioned a disparity study to determine if there is a level playing field for small businesses and minority- and woman-owned business enterprises when competing for County contracts. This research examines whether there are any barriers to minority- and woman-owned businesses seeking work with the County or with County prime contractors. The study identifies how the County can develop and implement contract equity program elements to address observed disparities in County contracts and subcontracts.

After review of data for the Greater Cleveland marketplace, Keen Independent included the following groups in the analysis of MBEs: those owned by Black Americans, Asian Americans, Hispanic Americans, American Indians and Middle Eastern and North African (MENA) Americans. Appendix A provides definitions of terms used in this study.

Contract Disparity Study

Keen Independent conducted a disparity study for the County to analyze whether the share of County contract dollars going to minority- and woman-owned firms was what would be expected given the relative availability of MBE/WBEs to perform that work.

Government programs that provide preferences or requirements regarding use of minority- or woman-owned businesses and certain other diverse businesses can be challenged in court. This disparity study provides the types of information needed by a public entity to review whether race- and gender-based programs are needed and might be legally supported. The study methodology is based on court decisions that have ruled on the constitutionality of minority- and woman business enterprise (MBE/WBE) programs, especially those within the jurisdiction of the United States Court of Appeals for the Sixth Circuit,

which includes Ohio (see Appendix L). The methodology employed in this study has been reviewed and approved by courts.

Research methods. The study included:

- Identification of the ownership of prime contractors, subcontractors and other vendors on past County contracts;
- A survey of firms in the market area available to perform public sector work related to construction, professional services, goods and other services (“study industries”);
- Disparity analyses that compare utilization of minority- and woman-owned firms on County contracts with what would be expected from the availability analysis;
- Interviews with business owners and representatives; and
- Other research about the local marketplace.

Study team. Keen Independent is a national economic consulting firm headquartered in Denver. The study team included the national law firm Holland & Knight, survey firm Customer Research International (CRI) and qualitative research firm S&A Consulting Group. The study team has performed more than 200 similar disparity studies for public entities.

Public input and overall project timeline. The disparity study started in September 2024 with submission of a draft report in September 2025. The County provided opportunities for public input from the outset. The Keen Independent study team reached out to businesses, trade association representatives and others through surveys, in-depth interviews and other research. More than 300 businesses, trade association representatives and other interested individuals provided input through these methods.

SUMMARY REPORT — Legal framework

Across the country, state and local governments have enacted efforts such as MBE/WBE programs to ensure there is equitable treatment of minority- and woman-owned firms related to public contracts and the public entity is not a participant in race or gender discrimination against those firms, including as a passive participant in private marketplace discrimination.

Overall Legal Framework

Holland & Knight prepared Appendix L of this report, which provides the legal framework for the study and guides study methodology.

Appendix L identifies the standards of legal review that apply when a public entity must defend a program that includes components for minority-owned business enterprises (MBEs), woman-owned business enterprises (WBEs) and types of businesses such as small businesses. The different standards of legal review are:

- **Strict scrutiny** (for MBE programs);
- **Intermediate scrutiny** (for WBE programs); and
- **Rational basis** (for programs for businesses that are small, for example). This is the most easily met standard of legal review, as a government entity need only show that it had a rational basis for enacting a law (see Appendix L).

Strict Scrutiny

In 1989, the U.S. Supreme Court in *City of Richmond v. J.A. Croson Company* established “strict scrutiny” as the standard of legal review for race-conscious programs adopted by state and local governments.³ Strict scrutiny requires that:

- A governmental entity has a “compelling governmental interest” in remedying past identified discrimination or its present effects; and
- The program adopted be “narrowly tailored” to achieve the goal of remedying the identified discrimination.

Intermediate Scrutiny

Certain courts, including in the Sixth Circuit Court of Appeals, apply intermediate scrutiny when reviewing gender-conscious programs.⁴ Courts have required they be:

- Supported by both “sufficient probative” evidence or “exceedingly persuasive justification” in support of the stated rationale for the program; and
- Substantially related to the achievement of that underlying objective.

³ See Appendix L, Page 7.

⁴ See Appendix L, Page 26.

SUMMARY REPORT — Procurement policies and equity programs

Procurement Policies

Procurement processes for the County are governed by Title 5 of the Cuyahoga County Code and Chapter 307 of the Revised Code of the State of Ohio. In addition to these requirements, the County maintains purchasing policies regarding procurement procedures. These policies are summarized below. See Appendix M for additional detail.

Bidding thresholds and requirements. In general, Cuyahoga County procures goods, professional and technical services, general services and construction valued at more than \$50,000 through formal solicitation of competitive sealed bids or proposals, unless specifically exempted from the bidding requirement.⁵ Purchases below that amount can be made through informal processes. Public advertisement includes posting on Cuyahoga County’s procurement website and an official newspaper in general circulation.

Contract award. Contract awards are typically determined based on low bid or best value. Certain types of professional and technical services contracts must be awarded based on qualifications.

Bonding. Contractors on vertical construction projects must supply payment and performance bonds in the full contract amount (and subs must supply these bonds in the full amount of the subcontract).

Prompt payment. State code requires prime contractors to begin paying interest at a rate of 18 percent annually on any payments to subcontractors starting on the eleventh day after receiving payment from the County.

Procurement Equity Programs

As discussed in Appendix M, Cuyahoga County operates four primary contract equity programs for its non-federally funded contracts:

- Small Business Enterprise (SBE) Program and Minority Business Enterprise (MBE) & Women Business Enterprise (WBE) Program;
- The Small Business Set Aside (SBSA) program;
- Cuyahoga County Based Business (CCBB) Program; and
- Cuyahoga County Business Economic Inclusion Program (CCBEIP).

SBE, MBE and WBE program. Cuyahoga County may set SBE, MBE and WBE participation goals on any locally funded contract. During the study period, the County mostly set contract goals on construction contracts.

Small Business Set Aside (SBSA) program. This program creates a sheltered market for certified small businesses for certain locally funded contracts. Keen Independent identified only 20 contracts in the contract data for 2020–2024 where the SBSA program applied.

CCBB and CCBEIP programs. These are lowest-bidder price-matching programs for businesses that are certified as a Cuyahoga County-based business or as an Inclusive Business (a business that has demonstrated commitment to utilizing MBE/WBE subcontractors or that has a diverse workforce).

⁵ The County increased the formal bid threshold to \$200,000 in early 2025.

SUMMARY REPORT — Cuyahoga County procurements examined

Contracts Examined

Keen Independent performed utilization, availability and disparity analyses by first collecting and analyzing data on Cuyahoga County non-federally funded contracts and subcontracts. Keen Independent examined County data concerning payments to vendors for construction, professional services, goods and other services contracts.

Contract and Subcontract Data

Cuyahoga County provided payment data for contracts awarded during the study period (January 1, 2020, through December 31, 2024).

The County tracks payment information for subcontractors performing work on its procurements with an SBE, MBE or WBE goal. The County also collected subcontractor payment information directly from prime contractors on its largest construction and professional services contracts without subcontract participation goals.

In total, Keen Independent examined 5,731 contract elements (\$506 million), 486 of which were subcontracts (\$57 million).

Keen Independent identified payments to exclude from the study, such as payments to governmental entities, employee benefits and nonprofits as well as types of purchases typically made from national markets (see Appendix B for additional detail regarding exclusions). Utilization, availability and disparity analyses use County payment data after removing the identified exclusions.

Types of Work in County Contracts

A disparity study focuses on the types of work procured by the individual governmental entity.

Based on information in the contract and subcontract records, Keen Independent coded the primary type of work involved in each prime contract and subcontract using North American Industry Classification System (NAICS) and, when more detail was required, Standard Industrial Classification (SIC) codes. NAICS and SIC codes are standardized federal systems for classifying firms into a subindustry according to the type of work they perform. If a company performed more than one type of work on a contract or subcontract, the study team attempted to identify the primary type of work conducted.

Figures 1 through 4 on the following four pages show dollars of prime contracts and subcontracts by subindustry for County purchases during the study period (beginning with construction, each page reviews types of spending within a particular industry).

Keen Independent's availability analysis and research on local marketplace conditions focused on the subindustries accounting for the most County spending within each industry.

SUMMARY REPORT — Cuyahoga County procurements examined

Construction

About \$226 million of County contract dollars during the study period went to construction contracts and subcontracts. Figure 1 identifies the major types of construction activity, organized by work performed.

- Nearly half of the County construction dollars pertained to highway and bridge construction (\$61 million) and surfacing and paving (\$43 million).
- About 10 percent of construction contract dollars went to commercial and institutional building construction (about \$21 million).

In total, the 13 major types of construction work listed in Figure 1 accounted for about 93 percent of County construction dollars. There were some types of work involved in construction contracts (such as engineering) that pertained to other industries. They amounted to \$6 million, or about 3 percent of total dollars of County construction contracts.

1. Spending by type of work on County construction prime contracts and subcontracts, January 2020–December 2024

	Dollars (\$1,000s)	Share of industry	
Construction			
Highway and bridge construction	\$ 61,024	27.0	%
Surfacing and paving	42,874	19.0	
Commercial and institutional building construction	21,364	9.5	
Site prep	16,798	7.4	
Plumbing and HVAC	15,109	6.7	
Water and sewer line construction	12,251	5.4	
Construction materials	9,961	4.4	
Electrical work	7,876	3.5	
Elevator installation and repair	6,601	2.9	
Construction management	4,739	2.1	
Fence construction	4,297	1.9	
Concrete work	3,398	1.5	
Roofing	3,190	1.4	
Subtotal	\$ 209,481	92.7	%
Other construction	\$ 10,826	4.8	%
Other types of work	5,612	2.5	
Total	\$ 225,919	100.0	%

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Cuyahoga County procurements examined

Professional Services

About \$116 million of County contracts went to professional services contracts during the study period. Figure 2 examines major areas of County spending on professional services.

- Legal services made up more than half of the professional services contract dollars (\$66 million).
- About 26 percent of professional services contract dollars was for architecture and engineering work (\$31 million).

The six types of professional services work listed in Figure 2 accounted for about 94 percent of County contract dollars for this industry.

There were some types of work involved in professional services contracts that pertained to other industries. They amounted to \$99,000, or about 0.1 percent of total dollars of County professional services contracts.

2. Spending by type of work on County professional services prime contracts and subcontracts, January 2020–December 2024

	Dollars (\$1,000s)	Share of industry	
Professional services			
Legal services	\$ 66,526	57.1	%
Architecture and engineering	30,524	26.2	
Marketing and advertising	6,526	5.6	
Surveying and mapping	2,045	1.8	
Certified public accountants	1,842	1.6	
Environmental consulting	1,513	1.3	
Subtotal	\$ 108,977	93.6	%
Other professional services	\$ 7,362	6.3	%
Other types of work	99	0.1	
Total	\$ 116,438	100.0	%

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Cuyahoga County procurements examined

Goods

County goods purchases examined in the study totaled \$92 million over the study period. Figure 3 lists the major types of goods purchases that together accounted for 91 percent of County goods purchases that Keen Independent analyzed.

- Combined, vehicles (\$17 million) and construction materials (\$14 million) accounted for about one-third of County goods spending.
- About 10 percent (\$9 million) of County spending went to furniture.

Not shown in Figure 3 is the spending for types of goods the County primarily purchased from national markets (computer and computer peripheral equipment, for example).⁶ Keen Independent excluded from the analysis types of construction, professional services, goods and other services purchases primarily made from national markets.

⁶ Excluding types of purchases made from a national market is a standard step in a disparity study. Since these purchases are primarily made from a national market and

3. Spending by type of County goods procurements, January 2020–December 2024

	Dollars (\$1,000s)	Share of industry	
Goods			
Vehicles	\$ 16,828	18.3	%
Construction materials	13,792	15.0	
Furniture	8,754	9.5	
Communications and A/V equipment	7,154	7.8	
Industrial machinery	6,491	7.1	
Uniforms and apparel	5,856	6.4	
Food	5,545	6.0	
Office equipment	5,360	5.8	
Office supplies	5,360	5.8	
Construction and farm machinery and equipment	3,307	3.6	
Bulk fuel delivery	2,923	3.2	
Auto parts	2,291	2.5	
Subtotal	\$ 83,661	91.1	%
Other goods	\$ 8,220	8.9	%
Total	\$ 91,883	100.0	%

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

not the relevant geographic market area, they are typically made ineligible for application of contract equity program elements.

SUMMARY REPORT — Cuyahoga County procurements examined

Other Services

Other services contracts accounted for \$72 million of County spending during the study period. Figure 4 examines major areas of County spending on other services (not including types of work typically purchased from outside the local area).

Figure 4 lists 11 types of work that together accounted for 91 percent of other services procurement dollars.

- Contracted food services (\$16 million) and employment placement and temporary staffing (\$16 million) were the largest areas of spending, together representing 44 percent of County other services contract dollars.
- Ground transportation services (\$13 million) was the third largest area of spending on other services, representing 18 percent of other services contract dollars.

There were some types of work involved in other services contracts that pertained to other industries. They amounted to \$773,000, or about 1 percent of total dollars of County other services contracts.

4. Spending by type of work on County other services procurements, January 2020–December 2024

	Dollars (\$1,000s)	Share of industry	
Other services			
Contracted food services	\$ 15,936	22.1	%
Employment placement and temporary staffing	15,668	21.7	
Ground transportation services	12,870	17.8	
Security systems services	9,951	13.8	
Sewer cleaning and inspection	3,670	5.1	
Commercial printing	2,313	3.2	
Waste collection and recycling	1,363	1.9	
Security guard and patrol services	1,225	1.7	
Landscaping services	845	1.2	
Extermination and pest control	801	1.1	
Janitorial services	760	1.1	
Subtotal	\$ 65,402	90.6	%
Other services	\$ 5,996	8.3	%
Other types of work	773	1.1	
Total	\$ 72,171	100.0	%

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Cuyahoga County procurements examined

Geographic Market Area

Firms with a location in the Cleveland-Elyria, OH, Metropolitan Statistical Area (MSA) performed most of the dollars of contracts and subcontracts for the County, after excluding the types of purchases typically made from national markets.

Firms in this area accounted for about 84 percent of County construction, professional services, goods and other services contract dollars combined (after making national market exclusions). Keen Independent also refers to this area as the Greater Cleveland marketplace in this report (see Figure 5 on the right).

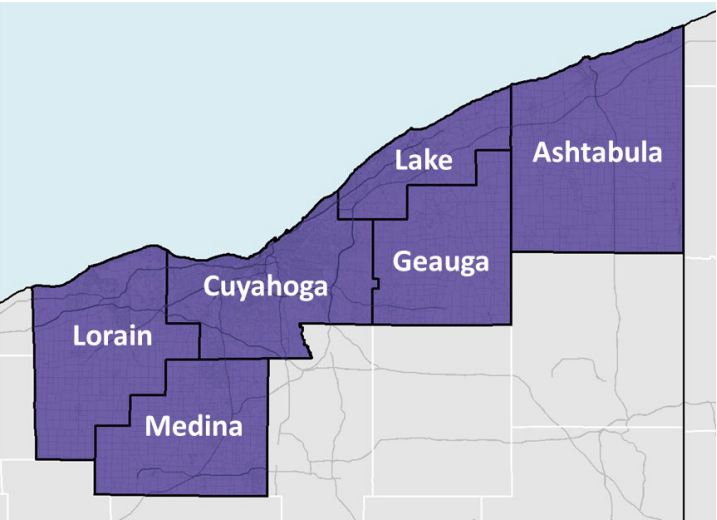
Figure 6 below shows that firms with a location in the Greater Cleveland marketplace obtained a substantial share of County contract dollars in each of the study industries. Therefore, Keen Independent focused on firms in the Greater Cleveland area when examining conditions in the local marketplace.

6. Dollars of County prime contracts and subcontracts by location of firm, January 2020–December 2024

	Dollars (\$1,000s)	Percent in Cleveland metro area
Construction	\$ 225,919	85.7 %
Professional services	116,438	86.4
Goods	91,883	75.5
Other services	72,171	85.0

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

5. Relevant geographic market area for County contracts



Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Information about marketplace conditions

In the marketplace analyses, Keen Independent examined data from the U.S. Census Bureau, the availability survey conducted for this study, and other sources of information on conditions for minority- and woman-owned firms and other businesses. Appendices E through H of this report provide results from these analyses. Appendix I explains data sources.

The Keen Independent study team also collected qualitative information from business owners and representatives from trade organizations and business assistance organizations. The study team conducted in-depth interviews, availability surveys, public forums and other activities.

For anonymity, Keen Independent analyzed and coded comments from the qualitative research without identifying any of the participants. Keen Independent provided opportunities for public comments via mail and the designated study telephone hotline, website and email address.

Some of the comments from the qualitative research are provided in the following pages. Appendix J provides a much richer analysis of the input received. Appendix J is based on input from more than 300 businesses, trade association representatives and others.

Note that the comments in the following pages and in Appendix J identify individuals by number, not by name. (Appendix J explains the numbering system in further detail.)

The following pages present the analysis of marketplace conditions in the following order:

- Entry and advancement as employees;
- Business ownership;
- Business success; and
- Specific barriers to doing business in the marketplace and with public entities. (This analysis includes topics such as access to capital, information about work opportunities and unfair treatment in the marketplace.)

SUMMARY REPORT — Information about marketplace conditions

Entry and Advancement as Employees

People of color were about 29 percent of the Cleveland-Elyria MSA workforce from 2019 through 2023. Women accounted for about 49 percent of all workers. Any barriers to entry or advancement as workers in the study industries might affect the relative number of businesses owned by people of these groups in these industries in the Cleveland metro area.

Analysis of the Cleveland metro area workforce in the study industries indicates disparities in employment consistent with barriers to entry and advancement for some minority groups, women and other groups (see Appendix E). Disparities in employment were particularly evident for the following groups:

- Black Americans and women in the construction industry;
- Asian Americans and American Indians (combined) in the construction industry;
- Black Americans, Asian Americans and women in the professional services industry (after controlling for education).
- Black Americans, Asian Americans, American Indians and women in the goods industry.
- Asian Americans and women in the other services industry.

Comments about the local workplace from the qualitative research include those to the right (see Appendix J).

I feel I was discriminated against, because I was Black and a male.

I-10. Black American male owner of an other services firm

It's a construction business mentality. There was some [negative treatment] for being a woman.

I-19. White female owner of a professional services firm

... whenever there was some type of cost-cutting measure, they would point to me I would be the only brown face there.

I-22. Black American female owner of a professional services firm

[At my previous company], no matter how good you are ... [it] didn't really matter. They will hire someone else and promote someone else I believe it was due to race I became very frustrated. I felt like, if I'm going to work this hard, I'm going to do it for myself.

I-15. Black American female owner of an other services firm

[At my previous company] ... they didn't want Black people there.

I-13. Black American female owner of a goods firm

SUMMARY REPORT — Information about marketplace conditions

Business Ownership

Keen Independent examined whether there were differences in business ownership rates for workers in local construction, professional services, goods and other services industries related to race and gender.

- **Construction.** Women working in the local construction industry were less likely than men to own a business. However, this difference was not statistically significant after controlling for gender-neutral factors, such as age, marital status and homeownership.
- **Professional services.** In the local professional services industry, women employees were less likely to own a business than men.

After statistically controlling for factors such as age, income of spouse or partner, having a four-year degree and having an advanced degree, a lower business ownership rate persisted for white women. This disparity was substantial.

- **Goods.** Among workers in the Cleveland metro area goods industry, Black Americans and women were less likely than white workers and men, respectively, to own a business and statistically significant differences persisted for white women when controlling for other factors. This disparity was substantial.
- **Other services.** In the Greater Cleveland area other services industry, Black Americans, Hispanic Americans and American Indians were less likely than white workers to own a business. After controlling for personal characteristics, statistically significant differences persisted for Black Americans. This disparity was substantial.

Discussion of marketplace barriers later in the Summary Report begin to explain factors that could be related to these disparities in business ownership rates, including results from the qualitative research in Appendix J of the report. For example:

- There is substantial evidence that the playing field is not level for people of color and women to start a business, especially concerning access to capital in the Cleveland metro area.
- Qualitative research also shows the importance of networks for new business owners to find opportunities for work. There is evidence that people of color and women face disadvantages compared to other groups.

SUMMARY REPORT — Information about marketplace conditions

Business Success

Keen Independent explored many different types of business outcomes in the Greater Cleveland marketplace for minority- and woman-owned firms compared with majority-owned companies. There is a pattern of disparities in outcomes for MBEs and WBEs (see Appendix H).

Business closure, expansion and contraction. The study team used the most recent SBA study of minority business dynamics to examine business closures, expansions and contractions for privately held businesses between 2002 and 2006 (the most recent data available). The SBA study reported results for each state. Compared with majority-owned firms in Ohio, that study found that:

- Black American- and Asian American-owned firms were less likely to expand; and
- Black American-, Asian American- and Hispanic American-owned businesses were also more likely to close.

Data for the COVID-19 pandemic also indicate that MBEs and WBEs were more likely to close than other firms.

Bid capacity. Keen Independent's availability survey asked firms to identify the largest contracts they had bid or worked on in the past five years (the study team labels this value measure of "bid capacity"). Minority- and woman-owned firms had lower bid capacity than majority-owned firms in the study industries. Statistically significant differences persisted for MBEs after accounting for the types of work they perform and length of time in business.

Business revenue and earnings. The study team used data from several different sources to analyze business receipts and earnings for businesses owned by people of color and women.

- In general, U.S. Census Bureau data from the 2022 Annual Business Survey showed lower average receipts for businesses owned by people of color and women in Ohio than businesses owned by non-minorities or men.
- Data from 2019–2023 American Community Survey for the Cleveland-Elyria MSA marketplace indicated the following statistically significant differences in business earnings:
 - For all study industries combined, Black American and Hispanic American business owners, as well as Asian American and American Indian business owners combined, had lower business earnings than non-Hispanic white business owners and women had lower business earnings than men (statistically significant differences).
 - After statistically accounting for certain race- and gender-neutral factors, there were statistically significant differences in earnings for Black American, Hispanic American, American Indian and white woman business owners.
- Data from the 2025 availability survey showed lower revenue for MBEs and WBEs compared with majority-owned firms. For example, only 7 percent of MBEs and 17 percent of WBEs had average annual revenue of \$1 million or more compared with 19 percent of majority-owned firms.

SUMMARY REPORT — Information about marketplace conditions

Quantitative analysis of the utilization of MBE/WBEs as contractors and design firms on construction contracts in Cuyahoga County. The study team examined MBE/WBE participation in other public sector and private sector construction projects within Cuyahoga County boundaries. The study team compiled data on the use of MBE/WBE firms as prime contractors and lead design firms on construction projects related to commercial and institutional building construction, underground utilities and road construction. Keen Independent examined projects from 2020 through 2024. (These projects did not include those for Cuyahoga County.) Appendix N provides additional information.

For general contractors, the 2 percent of the dollars for these projects going to MBEs was below availability for MBEs, with a disparity index of 12 (a substantial disparity). There were substantial disparities for Black American-, American Indian- and MENA American-owned contractors. Utilization of WBEs on these projects (9% of project dollars) exceeded what was expected from the availability analysis.

There were substantial disparities between the share of design projects going to MBEs and WBEs and the availability of those businesses to perform that work. There were substantial disparities for Black American-, Hispanic American-, American Indian- and MENA American-owned design firms and for WBEs.

SUMMARY REPORT — Information about marketplace conditions

Keen Independent researched why certain disparities in business outcomes might be occurring. Appendices E through J provide in-depth analysis of this question. We summarize results here.

Access to Capital

Business start-up and long-term business success depend on access to capital. Discrimination at any link in that chain may produce cascading effects that result in racial and gender disparities in business formation and success as well as the competitiveness of MBE/WBE businesses for public sector contracts.

Discrimination in housing. Appendix G of this study present substantial evidence of racial disparities in access to capital and some evidence of unequal access to capital for women in the Greater Cleveland area. Some of the racial disparities may be due to past public and private sector discrimination affecting housing for people of color in Ohio and the local market area.

Historically, redlining referred to mortgage lending discrimination against geographic areas based on racial or ethnic characteristics of a neighborhood.⁷ Presently, the concept of redlining includes an examination of the availability of and access to credit in predominantly minority neighborhoods, and the credit terms offered within a lender's assessment area.⁸

As discussed in Appendix G, Keen Independent's analysis of Home Mortgage Disclosure Act data for 2019 through 2023 show home mortgage denial rates among high income households to be substantially higher for Black Americans, Hispanic Americans and American Indians compared to non-Hispanic whites (in the case of Black Americans, three times higher rates of mortgage denials).

⁷Burnison, T. R., & Boccia, B. (2017). Redlining everything old is new again. *ABA Banking Journal*, 109(2).

⁸ Ibid.

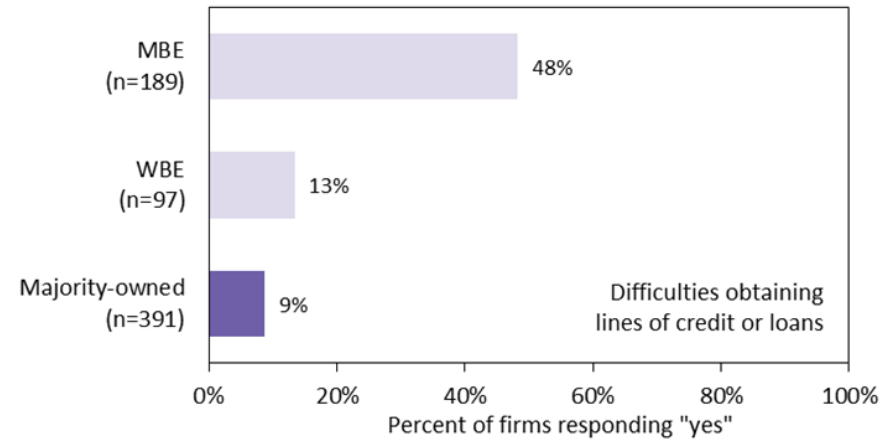
SUMMARY REPORT — Information about marketplace conditions

Disparities in access to business loans. There is substantial national evidence of disparities in access to business loans for minority-owned companies. Evidence within the Greater Cleveland area includes disparities in access to Paycheck Protection Program loans for minority-owned businesses during the COVID-19 Pandemic (see Appendix G).

The 2025 availability survey asked respondents “Has your company experienced any difficulties in obtaining lines of credit or loans?” As shown in Figure 7, nearly half (48%) of MBEs experienced difficulties obtaining lines of credit or loans compared to only 9 percent of majority-owned firms (9%). These differences are especially notable given that most of the businesses (MBE, WBE and majority-owned) in the availability survey database are small.

Further analysis (not shown) indicated that the difficulties that minority-owned firms often reported regarding access to capital affected each racial group. Among respondents to this question in the availability survey, each group of MBE firms (Black American-, Asian American-, South Asian American-, Hispanic American-, MENA American-, American Indian-owned firms) was more likely to report difficulties obtaining lines of credit or loans than were majority-owned firms.

7. Responses to availability survey question concerning loans



Source: Keen Independent Research from 2025 availability survey.

SUMMARY REPORT — Information about marketplace conditions

Qualitative information about access to capital. Business owners and others participating in the availability survey, in-depth interviews and other qualitative research discussed access to capital, reporting that it was critical to success and difficult for companies to secure.

Many individuals described the importance of personal or family wealth, home ownership and the amount of equity in a home when starting their businesses and accessing resources for growth.

I started with my 401K.

I-15. Black American female owner of an other services firm

My personal savings and income.

I-4. Black American female owner of a professional services firm

We got a bank loan because of our family's personal financial health.

I-6. Asian American female owner of a goods firm

Some commented on barriers specific to people of color and women. Examples of comments are to the right.

[Speaking about access to capital] I can think of a few situations where people have been bypassed because of experience, gender and racial things. I think a lot of it also occurs because of the sophistication of their knowledge about what's going on in front of them.

I-16. White male owner of a construction-related firm

The banks do not fund people of color and people who don't have a strong credit history. They're not giving us the chance.

I-11. Black American male owner of an other services firm

There are organizations that take advantage of minorities, especially minority women, who can't access capital in a more traditional way. They end up providing capital that becomes very, very expensive and is detrimental to the business.

I-6. Asian American female owner of a goods firm

[Only] 20 percent of minority firms that I work with have a business line of credit. So that speaks for itself.

TO-2. Black American female representative of a business assistance organization

SUMMARY REPORT — Information about marketplace conditions

Bonding

Bonding requirements can present difficulties for construction firms in the Greater Cleveland marketplace. Barriers to obtaining bonding and increasing bonding capacity are closely related to barriers regarding access to capital.

The 2025 availability survey asked construction firms if they had tried to obtain bonding for a project or contract. About 62 percent of MBEs, 73 percent of WBEs and 69 percent of majority-owned construction firms indicated that they had tried to obtain bonding.

Firms that had tried to obtain a bond were then asked, “Has your company had any difficulties obtaining bonds needed for a project or contract?” Of those that had tried to obtain a bond, MBEs were more likely than other firms to report difficulties obtaining a bond.

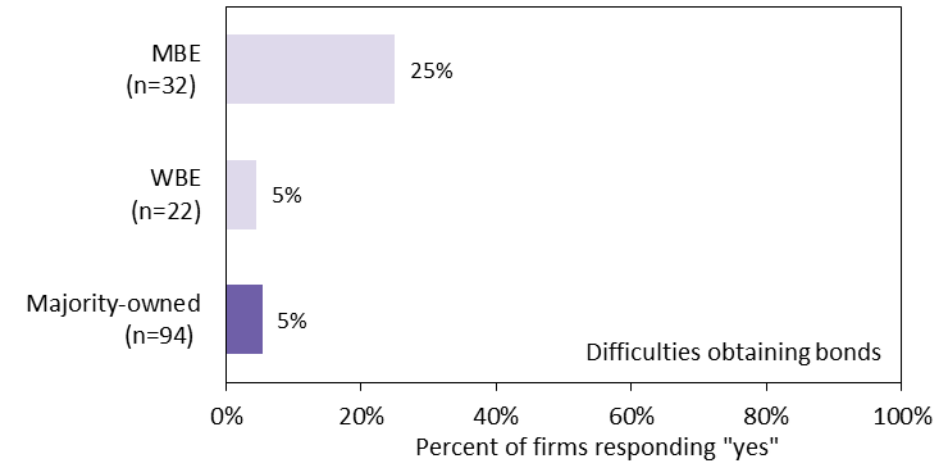
Figure 8 presents these results. Examples of comments from the qualitative research are shown below.

It’s harder, as a small business, because the bond is based on your capital, assets and work history. If you’re starting small, you can’t get the bond capacity that they want you to have on projects.
I-17. Hispanic American male owner of a construction-related firm

If you can’t get a multi-million-dollar bond, then you also can’t afford to even to go after a multi-million-dollar project.
TO-2. Black American female representative of a business assistance organization

If there’s a high bond ... that will stop someone from going after a contract. They’ll have to either join with another business or they’ll have to look for something smaller that they can handle.
TO-3a. Black American female representative of a business assistance organization

8. Responses to availability survey question concerning bonding



Source: Keen Independent Research from 2025 availability survey.

SUMMARY REPORT — Information about marketplace conditions

Insurance

Public sector construction, professional services and other services contracts typically require different types of insurance, often in excess of what is required for private sector work.

Many business owners participating in the qualitative research had comments about insurance requirements, often suggesting that insurance requirements disproportionately impact new, small and minority-owned firms. Examples of comments are shown to the right.

It is typically more expensive for smaller businesses to get insurance.

I-14. Minority male owner of a professional services firm

I went through my franchise company to get insurance, because it was lower. Because I was a small, minority-owned business, my insurance was high.

I-10. Black American male owner of an other services firm

Insurance companies did not want to work with me, because I wasn't established for enough years.

I-17. Hispanic American male owner of a construction-related firm

Anybody is going to run into issues with insurance. It's just one of those things that you pay for, and you never really seem to get back out what you put in ... it's our industry.

I-3. Black American male owner of an other services firm

SUMMARY REPORT — Information about marketplace conditions

Issues with Prompt Payment

Small businesses can be more negatively affected by slow payment than larger businesses with more established cash flow. Because of disparities in access to capital for minority- and woman-owned firms that affect their working capital, slow payment for work can disproportionately affect those businesses.

The availability survey asked firms whether they experienced difficulties receiving payment from public entities, prime contractors and other customers.

- MBEs were more likely than other firms to report difficulties receiving payment from the County.
- MBEs were also more likely than WBEs or majority-owned firms to report difficulties receiving payment from prime contractors.
- In comparison, each group of firms was more likely to report difficulties receiving payment from other customers than from the County or from prime contractors.

Some firms gave specific instances of slow payment. Examples are shown to the right (and discussed in more detail in Appendix J).

On a lot of jobs, you don't get paid until the job is done, so startup capital is a big challenge. You may have to pay your employees, and you may not see money until 90 days.

I-2. Black American male owner of a construction-related firm

Getting our payments. They need to do better about paying out on their invoices.

AS-46. Representative of a Black American-owned other services firm

Entities don't follow the rules. We're a net 30-day company. We did the work on this day. We should be paid 30 days later. It doesn't work like that for us. It's hard. We're the last ones to get paid We did a job for ODOT, and we're still waiting to get paid.

I-18. White female owner of a professional services firm

SUMMARY REPORT — Information about marketplace conditions

Information on Work Opportunities

Study participants provided insights into their experiences learning about bid opportunities.

Learning about public sector bid opportunities. The availability survey asked firms if they experienced difficulties learning about bid opportunities with (a) Cuyahoga County, (b) private sector opportunities in the Greater Cleveland area, and (c) subcontracting opportunities in the Greater Cleveland area. In each instance, MBEs and WBEs were considerably more likely to report experiencing difficulties than were majority-owned companies. For example, one-half of MBEs reported difficulties learning about bid opportunities with Cuyahoga County compared to 15 percent of majority-owned firms.

Availability survey participants and individuals who completed in-depth interviews gave insights into these difficulties. Appendix J discusses this issue. Examples of comments and some of the ideas for improvement mentioned by business owners and others are shown to the right.

Examples of comments specific to Cuyahoga County are provided below.

Cuyahoga County could advertise projects more. It seems like it's secretive. If I find out about something, it's already bid on.

I-10. Black American male owner of an other services firm

The state has a list of all the businesses within Cuyahoga County. Why are email blasts not going out to them?

I-23. Black American female owner of a professional services firm

Make it available for all businesses to be able to get the bid information. Equal opportunity when it comes to bidding.

AS-111. Black American male owner of an other services

Make it more accessible to find the work that's out there. I keep hearing from a lot of contractors and subcontractors that there's a lot of work out there.

AS-72. Black American male owner of construction-related firm

Have more of an open portal or more visibility for small contract business owners.

AS-66. Black American male owner of a construction-related firm

More opportunities and transparency for minority companies.

AS-85. Representative of a Black American and woman-owned firm

One website for jobs information instead of multiple would be useful.

AS-132. Male owner of a professional services firm

It would be nice if there was a website where opportunities are posted and made sure people know about the website.

AS-154. White male owner of a professional services firm

SUMMARY REPORT — Information about marketplace conditions

Learning about subcontract opportunities with prime contractors.

As mentioned on the previous page, MBEs (46%) and WBEs (33%) were more likely to report difficulties learning about subcontract opportunities than majority-owned firms (17%) when asked about that potential barrier in the availability survey.

Some business owners and representatives reported that certain prime contractors or customers are reluctant to work with newer or smaller businesses. There were also comments that working with some prime contractors could actually be harmful to a minority-owned business.

Examples of comments are shown to the right (see Appendix J for more information).

My barrier [as a subcontractor] is I can do what they can do They don't want to hire somebody that is a bigger expert than they are They want to hire somebody that can do trivial work.

I-14. Minority male owner of a professional services firm

[The prime-subcontractor relationship is] a subservient relationship. You're underneath, you're diminished, you have no say-so, you aren't valued, you aren't included.

TO-4a. Black American female representative of a business assistance organization

In the construction space [subcontractors] are getting squeezed out and not making much of a margin on their performance on a project.

TO-3b. Hispanic American male representative of a business assistance organization

Not everyone has the equity of relationships and awareness [to find out about Cuyahoga County contracts].

TO-4a. Black American female representative of a business assistance organization

A lot of the proposals are sent out by invitation. You must be on their list first before they send it to you. I'm not on their list.

I-14. Minority male owner of a professional services firm

SUMMARY REPORT — Information about marketplace conditions

Importance of relationships to finding and winning work. Business relationships and networks are critical to finding opportunities and winning work, according to business owners and others providing input in this study.

The importance of “who you know” extends to the public sector based on these comments. Examples are provided to the right.

[Relationships are] the foundation of business success.

TO-3a. Black American female representative of a business assistance organization

Relationships with customers sets you apart I know my customers by name, and they know me.

I-13. Black American female owner of a goods firm

It's all about relationships. The only reason I am in business is because of people that know me.

I-14. Minority male owner of a professional services firm

It all hinges on relationships It is the golf course and the dinners.

TO-3b. Hispanic American male representative of a business assistance organization

SUMMARY REPORT — Information about marketplace conditions

Meeting Bid Specifications, Costs of Bidding and Other Barriers to Obtaining Public Sector Contracts

Business owners and others discussed whether there were barriers to bidding on Cuyahoga County contracts. Many discussed financial and time restraints, access to procurement information, unclear bid requirements and restrictive contract specifications as barriers.

Small business challenges. Interviewees commented on the financial and time restraints faced by small and minority-owned firms when bidding on projects.

I see the bids [from Cuyahoga County], but it's hard for me to afford them.

I-11. Black American male owner of an other services firm

Bids are so specific and leave out a huge demographic of people. The County will say, 'We're trying to be inclusive. We want everybody to bid on this. We're taking all certifications.' Then you look at the details, and they slap liquid damages on all of the scopes of work for a substantial amount. Small businesses are not going to be able to cover that.

TO-3a. Black American female representative of a business assistance organization

It is hard for minorities and small businesses to compete on projects The requirements and amount of paperwork for projects don't let them be cost effective and compete against the 'good ol' boy' companies who get all the jobs.

I-17. Hispanic American male owner of a construction-related firm

Unclear bid requirements and access to procurement

information. Business owners and representatives reported that they have experienced difficulties accessing procurement information. Some reported that bid and proposal requirements can be difficult to understand.

They make the project requirements super high to keep smaller companies out of there.

I-17. Hispanic American male owner of a construction-related firm

When [Cuyahoga County] awards contracts, there is lack of transparency as to what the criteria was, 'Why was one party perhaps awarded a contract versus other parties?' or what was the decision making. Transparency would help.

I-20. White female owner of a professional services firm

The largest issue that some of us might have navigating [the procurement] space is simply that the information for the bids is not very clear. It's written in a language that is good for internal people. Those of us who might not be connected to the movers and shakers inside of the Cuyahoga County office might not be able to interpret what some of these mean.

I-22. Black American female owner of a professional services firm

SUMMARY REPORT — Information about marketplace conditions

Denial of opportunity. Some interviewees described situations where they were denied opportunities to bid on contracts or have fair consideration of their bids.

Did I really have an opportunity to bid for something if you only put it up for a week ... and it went to the exact same companies that have always gotten bids of that type?

I-22. Black American female owner of a professional services firm

Companies will go through the bidding process only to find out that the job is going to remain with the incumbent They feel like they never had a fair shot at having an opportunity.

TO-4a. Black American female representative of a business assistance organization

SUMMARY REPORT — Information about marketplace conditions

Other Perceptions of Unfair Treatment

Interviewees shared their perceptions of unfair treatment in the marketplace.

Bid shopping. Many interviewees provided examples of predatory bid shopping by prime contractors and others. Appendix J provides more information.

Bid shopping happens every single time. I don't mind, because I am competitive. A lot of companies have processes, and they're required to shop around.

I-7. White male owner of a construction-related firm

Bid shopping happens all the time. If I know [an entity is] shopping my bid around, I won't do the job.

I-12. White male owner of a goods firm

Evidence of a “good ol’ boy” and other closed networks. Many business owners and representatives reported that “good ol’ boy” networks or other closed networks persist in the marketplace.

It is hard for minorities and small businesses to compete on projects The requirements and amount of paperwork for projects don't let them be cost effective and compete against the ‘good ol’ boy’ companies who get all the jobs.

I-17. Hispanic American male owner of a construction-related firm

The main hurdle that I believe most small, minority business owners have is that people want to do work with the people they're familiar with, and they are not willing to take the risk of hiring somebody new.

I-14. Minority male owner of a professional services firm

The same businesses are getting the deals If you look at the County jobs, if you look at big jobs in my industry, it's the same clique of people that get them all the time.

I-13. Black American female owner of a goods firm

Same people seem to get the jobs. Seems there are unfair advantages with bids on County jobs. Not easy to get.

AS-26. Representative of a Hispanic American-owned construction-related firm

SUMMARY REPORT — Information about marketplace conditions

Stereotyping and double standards specific to diverse business owners. Some participants discussed whether there are stereotypes or double standards that impact a firm's ability to perform or secure work and noted clear instances of discriminatory and biased behavior. The comments below and on the right are examples (see Appendix J for more discussion).

I've seen women who have startups with traction and revenue be completely passed up for some white dude's idea with nothing else backing it up.

I-4. Black American female owner of a professional services firm

*In the marketplace, I personally have faced discrimination
My field is a male dominated industry, so absolutely.*

I-20. White female owner of a professional services firm

It's a man's world. It really is. What we do is mostly owned and ran by men.

I-18. White female owner of a professional services firm

My industry is very male dominated When it came time to negotiate terms, not so much [based] on race, but more so on gender ... we were sometimes dismissed.

I-6. Asian American female owner of a goods firm

SUMMARY REPORT — Information about marketplace conditions

Competitive disadvantages due to pricing from suppliers.

When asked in the availability survey if they had any competitive disadvantages due to pricing from suppliers, 45 percent of MBEs and 23 percent of WBEs answering that question said “yes” compared to only 21 percent of majority-owned firms.

The comments to the right related to reports of unfavorable pricing or other relationships with manufacturers and suppliers. These may be related to being a small business or perhaps based on the race of the business owner.

The relationship with the distributor, and the affordability of products that you’re getting from them, is crucial.

TO-3b. Hispanic American male representative of a business assistance organization

The price [of materials and equipment] is always going up. Now, they’re saying some of the stuff is coming from places with tariffs We just passed it on to the customer, and they get angry at us, and I say, ‘if you can find it somewhere cheaper more power to you.’

I-7. White male owner of a construction-related firm

[Making] higher-end equipment affordable is huge, because if you can’t afford it, you just can’t do the work.

I-4. Black American female owner of a professional services firm

Opportunities to have access to equipment without owning the equipment. If Cuyahoga County ... were to have a maker space or a space where you could rent large, capital intensive pieces of equipment that someone could use, that would greatly benefit small businesses in the manufacturing space.

I-22. Black American female owner of a professional services firm

SUMMARY REPORT — Information about marketplace conditions

Business Assistance and Certifications

Interviewees provided comments about their experiences with business assistance programs and obtaining certification.

Business assistance programs. Some of the business owners interviewed as part of this study were knowledgeable of and participated in different types of technical assistance or other training programs. Some said that they would be interested in those resources but did not know about them or did not see the value in participation. Appendix J provides more information about knowledge, perceptions and value received from those programs.

Cuyahoga County is unparalleled with the diversity program out of all the agencies I work with. They throw SBE goals on the projects, they throw MBE goals in the projects and WBE goals.

I-5. White male owner of a professional services firm

Many of these programs are not worth the time and hassle to get involved with them.

I-16. White male owner of a construction-related firm

I did a few partnerships on Port Authority jobs. I did a mentor-protégé program Those companies don't want to help you. They don't do anything for you. They basically want you to fail, so they can pick the whole project back up and then they could say we try to help this minority company. We try to help this woman. They can't do the work, so we shouldn't have to use them anymore.'

I-17. Hispanic American male owner of a construction-related firm

There are tons of business support programs, but do businesses truly know how to effectively use all of them to strategize their businesses in a different way?

TO-3a. Black American female representative of a business assistance organization

There might be some but I'm not aware of them.

AS-36. Representative of a Hispanic American-owned construction-related firm

SUMMARY REPORT — Information about marketplace conditions

Certification. Keen Independent also discussed programs that required certification. Many participants mentioned that they were unaware of what certifications were or how to become certified.

Keen Independent found that approximately 26 percent of MBEs and 33 percent of WBEs in the availability database had a business certification. Overall, 28 percent of MBE/WBEs in the availability database were certified firms.

Some of the perceived barriers to certification are evident in the comments from the qualitative research (see examples to the right).

Some business owners indicated did not find value in obtaining certification. For example:

If the certifications aren't helping you get projects, it's really a waste of your time.

I-17. Hispanic American male owner of a construction-related firm

I would apply for more certifications if I could see that there is a possibility of future work. I did it for a few years for the sewer district, and I got nowhere. I decided I'm not going to waste my time.

I-14. Minority owner of a professional services firm

The certification process was a little confusing at first, but the person who helped me walked me right through it I haven't seen any benefit from it yet.

I-13. Black American female owner of a goods firm

Getting certified was a lengthy process. I feel like it's almost unnecessary just to prove to people that I'm small business, that I'm a Black-owned business. Proving to people that I'm Black ... is almost like a smack in the face to people of color.

I-11. Black American male owner of an other services firm

I find the certification process cumbersome.

I-20. White female owner of a professional services firm

They require you to recertify every year or two and it's just like going through dozens of paperwork and forms I don't change every year or two I can understand an update, but not the complete [reapplication]. It becomes tedious.

I-14. Minority male owner of a professional services firm

SUMMARY REPORT — Utilization analysis

The next pages of this Summary Report examine the utilization of minority- and woman-owned firms for locally funded County contracts. The study team analyzed the utilization of other groups of businesses as well.

The analysis of utilization is followed by availability and disparity analyses that compare MBE/WBE utilization and availability by industry and group.

County Utilization of Minority- and Woman-owned Firms and Other Businesses

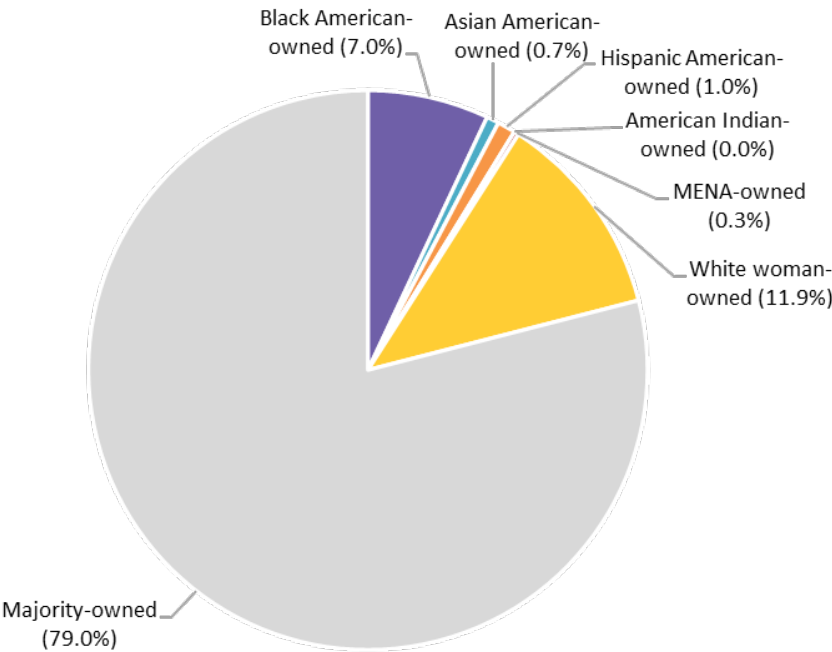
Keen Independent examined the ownership of firms performing County contracts and subcontracts awarded during the 2020 through 2024 study period.

There were 1,943 firms that received County contracts or subcontracts. Among those companies, 407 were minority- or woman-owned (145 MBEs and 262 WBEs).

Of the \$506 million in County contract dollars going to businesses during this period, \$106 million (21%) went to minority- and woman-owned companies (including non-certified firms). As shown in Figure 9, white woman-owned companies accounted for more than one-half of the MBE/WBE utilization.

Note that in the following pages, Keen Independent uses the term “contracts” synonymously with “procurements” or “purchases” and is not referring to the specific type of legal agreement used to acquire a good or service. Many of the figures and tables include subcontracts.

9. Share of County contract dollars going to MBEs and WBEs, January 2020–December 2024



Source: Keen Independent analysis of Cuyahoga County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Utilization Analysis by Group

Participation of MBE/WBEs on County contracts and subcontracts (January 2020–December 2024) included:

- About \$46 million going to minority-owned businesses (418 contracts or subcontracts); and
- About \$60 million going to white woman-owned businesses (816 contracts or subcontracts).

The bottom portion of Figure 10 examines utilization for certified firms. Firms that were certified under one or more programs (including SBEs) received about \$159 million (31%) of total contract dollars. MBE/WBE firms that were certified received about \$76 million (15%) of contract dollars, more than two-thirds of all dollars awarded to MBE/WBE firms. Results for certified firms were based on the following certification directories:

- Cuyahoga County MBE, WBE and SBE Directory;
- Ohio Unified Certification Program Directory;
- State of Ohio Minority Business Development Division Directory;
- City of Cleveland MWBE Directory;
- Ohio Turnpike SBE Directory;
- City of Cincinnati MWBE Directory;
- City of Columbus MWBE, ESBE, VBE and LGBTBE Directory;
- City of Dayton SBE, MBE, WBE and Dayton Local Small Business (DLSB) Directory; and
- Northeast Ohio Regional Sewer District MBE, WBE and SBE Directory.

10. Share of County contract dollars going to MBEs, WBEs and other firms, January 2020–December 2024

	Number of procurements	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	257	\$ 35,523	7.01 %
Asian American-owned	46	3,649	0.72
Hispanic American-owned	92	5,284	1.04
American Indian-owned	1	28	0.01
MENA American-owned	22	1,359	0.27
Total MBE	418	\$ 45,843	9.05 %
WBE (white woman-owned)	816	60,451	11.94
Total MBE/WBE	1,234	\$ 106,295	20.99 %
Majority-owned	4,497	400,115	79.01
Total	5,731	\$ 506,410	100.00 %
Certification status (MBE/WBE/DBE/SBE)			
Black American-owned	141	\$ 27,291	5.39 %
Asian American-owned	34	3,520	0.70
Hispanic American-owned	45	3,682	0.73
American Indian-owned	0	0	0.00
MENA American-owned	6	212	0.04
Total MBE	226	\$ 34,705	6.85 %
WBE (white woman-owned)	276	40,878	8.07
Total MBE/WBE	502	\$ 75,582	14.93 %
Majority-owned	322	83,840	16.56
Total certified	824	\$ 159,422	31.48 %
Non-certified	4,907	346,987	68.52
Total	5,731	\$ 506,410	100.00 %

Note: Number of procurements includes contracts and subcontracts.

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Construction

Keen Independent examined MBE and WBE participation in 1,000 County construction contracts and subcontracts in the study period. Of the \$226 million in construction contract dollars, 25 percent went to minority- or woman-owned companies.

The bottom portion of Figure 11 shows utilization for firms certified as MBEs, WBEs, DBEs and SBEs. One-half of County construction contract dollars went to certified businesses (much of that going to majority-owned SBEs).

Approximately 23 percent of procurement dollars went to MBE or WBE firms that were certified.

11. County construction contract dollars going to MBEs, WBEs and other firms, January 2020–December 2024

	Number of procurements	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	87	\$ 22,683	10.04 %
Asian American-owned	7	\$ 2,243	0.99
Hispanic American-owned	33	\$ 2,963	1.31
American Indian-owned	1	\$ 28	0.01
MENA American-owned	1	\$ 88	0.04
Total MBE	129	\$ 28,005	12.40 %
WBE (white woman-owned)	195	\$ 27,681	12.25
Total MBE/WBE	324	\$ 55,686	24.65 %
Majority-owned	676	\$ 170,233	75.35
Total	1,000	\$ 225,919	100.00 %
Certification status (MBE/WBE/DBE/SBE)			
Black American-owned	80	\$ 22,282	9.86 %
Asian American-owned	7	\$ 2,243	0.99
Hispanic American-owned	25	\$ 2,544	1.13
American Indian-owned	0	\$ 0	0.00
MENA American-owned	1	\$ 88	0.04
Total MBE	113	\$ 27,157	12.02 %
WBE (white woman-owned)	150	\$ 25,728	11.39
Total MBE/WBE	263	\$ 52,885	23.41 %
Majority-owned	139	\$ 63,791	28.24
Total certified	402	\$ 116,676	51.65 %
Non-certified	598	109,243	48.35
Total	1,000	\$ 225,919	100.00 %

Note: Number of procurements includes contracts and subcontracts.

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Construction prime contracts. Figure 12 examines utilization for County construction prime contracts. The dollar values in Figure 12 are limited to the dollars of construction contracts that were not subcontracted.

As shown, MBE/WBEs accounted for 18 percent of total construction prime contract dollars.

Certified firms (mostly majority-owned SBEs) accounted for 46 percent of construction prime contract dollars.

12. County construction prime contract dollars going to MBEs, WBEs and other January 2020–December 2024

	Number of contracts	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	21	\$ 10,827	6.27 %
Asian American-owned	2	\$ 856	0.50
Hispanic American-owned	6	\$ 836	0.48
American Indian-owned	0	\$ 0	0.00
MENA American-owned	1	\$ 88	0.05
Total MBE	30	\$ 12,607	7.30 %
WBE (white woman-owned)	56	\$ 18,679	10.82
Total MBE/WBE	86	\$ 31,286	18.12 %
Majority-owned	508	\$ 141,420	81.88
Total	594	\$ 172,705	100.00 %
Certification status			
Black American-owned	17	\$ 10,689	6.19 %
Asian American-owned	2	\$ 856	0.50
Hispanic American-owned	1	\$ 635	0.37
American Indian-owned	0	\$ 0	0.00
MENA American-owned	1	\$ 88	0.05
Total MBE	21	\$ 12,268	7.10 %
WBE (white woman-owned)	38	\$ 18,397	10.65
Total MBE/WBE	59	\$ 30,665	17.76 %
Majority-owned	73	\$ 49,269	28.53
Total certified	132	\$ 79,934	46.28 %
Non-certified	462	92,771	53.72
Total	594	\$ 172,705	100.00 %

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Construction subcontracts. Figure 13 shows the utilization of MBEs, WBEs and other firms on subcontracts for County construction contracts.

Of the 406 construction subcontracts identified, 238 went to MBE/WBEs. About 46 percent of construction subcontract dollars were awarded to minority- and woman-owned companies.

The bottom of Figure 13 shows utilization of certified firms. Most of the contract dollars going to MBEs and WBEs went to certified firms. Of the total amount going to certified firms, dollars going to MBE/WBEs that were certified exceeded dollars going to majority-owned certified SBEs.

13. County construction subcontract dollars going to MBEs, WBEs and other firms, January 2020–December 2024

	Number of subcontracts	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	66	\$ 11,856	22.28 %
Asian American-owned	5	\$ 1,387	2.61
Hispanic American-owned	27	\$ 2,127	4.00
American Indian-owned	1	\$ 28	0.05
MENA American-owned	0	\$ 0	0.00
Total MBE	99	\$ 15,398	28.94 %
WBE (white woman-owned)	139	\$ 9,002	16.92
Total MBE/WBE	238	\$ 24,400	45.85 %
Majority-owned	168	\$ 28,813	54.15
Total	406	\$ 53,213	100.00 %
Certification status			
Black American-owned	63	\$ 11,594	21.79 %
Asian American-owned	5	\$ 1,387	2.61
Hispanic American-owned	24	\$ 1,909	3.59
American Indian-owned	0	\$ 0	0.00
MENA American-owned	0	\$ 0	0.00
Total MBE	92	\$ 14,890	27.98 %
WBE (white woman-owned)	112	\$ 7,331	13.78
Total MBE/WBE	204	\$ 22,220	41.76 %
Majority-owned	66	\$ 14,522	27.29
Total certified	270	\$ 36,742	69.05 %
Non-certified	136	16,471	30.95
Total	406	\$ 53,213	100.00 %

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Professional Services

Keen Independent examined MBE and WBE participation in 2,083 County professional services contracts in the 2020–2024 study period. Of the \$116 million in professional services contract dollars, about 19 percent went to minority- or woman-owned companies. (These data include available data for subcontracts.)

The bottom of Figure 14 displays utilization of certified firms. About 3 percentage points of the 19 percent MBE/WBE utilization on professional services contracts went to certified MBE/WBEs. Utilization of majority-owned firms certified as SBEs exceeded utilization of MBE/WBEs that were certified.

14. County professional services contract dollars going to MBEs, WBEs and other firms, January 2020–December 2024

	Number of procurements	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	88	\$ 6,334	5.44 %
Asian American-owned	27	\$ 998	0.86
Hispanic American-owned	23	\$ 741	0.64
American Indian-owned	0	\$ 0	0.00
MENA American-owned	7	\$ 212	0.18
Total MBE	145	\$ 8,284	7.11 %
WBE (white woman-owned)	353	\$ 14,120	12.13
Total MBE/WBE	498	\$ 22,404	19.24 %
Majority-owned	1,585	\$ 94,034	80.76
Total	2,083	\$ 116,438	100.00 %
Certification status (MBE/WBE/DBE/SBE)			
Black American-owned	9	\$ 915	0.79 %
Asian American-owned	20	\$ 943	0.81
Hispanic American-owned	7	\$ 58	0.05
American Indian-owned	0	\$ 0	0.00
MENA American-owned	1	\$ 70	0.06
Total MBE	37	\$ 1,986	1.71 %
WBE (white woman-owned)	51	\$ 1,844	1.58
Total MBE/WBE	88	\$ 3,830	3.29 %
Majority-owned	68	\$ 6,538	5.62
Total certified	156	\$ 10,368	8.90 %
Non-certified	1,927	106,069	91.10
Total	2,083	\$ 116,438	100.00 %

Note: Number of procurements includes contracts and subcontracts.

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Professional services prime contracts. Figure 15 examines utilization for County professional services prime contracts. The dollar values in Figure 15 are limited to the dollars of professional services contracts that were not subcontracted.

As shown, MBE/WBEs accounted for 19 percent of total professional services prime contract dollars.

Certified firms (mostly majority-owned SBEs) accounted for 7 percent of professional services prime contract dollars.

15. County professional services prime contract dollars going to MBEs, WBEs and other January 2020–December 2024

	Number of contracts	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	84	\$ 6,311	5.56 %
Asian American-owned	13	\$ 413	0.36
Hispanic American-owned	20	\$ 708	0.62
American Indian-owned	0	\$ 0	0.00
MENA American-owned	7	\$ 212	0.19
Total MBE	124	\$ 7,645	6.73 %
WBE (white woman-owned)	333	\$ 13,583	11.96
Total MBE/WBE	457	\$ 21,227	18.69 %
Majority-owned	1,553	\$ 92,341	81.31
Total	2,010	\$ 113,569	100.00 %
Certification status			
Black American-owned	5	\$ 893	0.79 %
Asian American-owned	6	\$ 358	0.32
Hispanic American-owned	4	\$ 26	0.02
American Indian-owned	0	\$ 0	0.00
MENA American-owned	1	\$ 70	0.06
Total MBE	16	\$ 1,347	1.19 %
WBE (white woman-owned)	31	\$ 1,307	1.15
Total MBE/WBE	47	\$ 2,653	2.34 %
Majority-owned	48	\$ 5,154	4.54
Total certified	95	\$ 7,807	6.87 %
Non-certified	1,915	105,762	93.13
Total	2,010	\$ 113,569	100.00 %

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Professional services subcontracts. Figure 16 shows the utilization of MBEs, WBEs and other firms on subcontracts for County professional services contracts.

Of the 73 professional services subcontracts examined, 41 went to MBE/WBEs. About 41 percent of professional services subcontract dollars were awarded to minority- and woman-owned companies.

The bottom of Figure 16 shows utilization of certified firms. All of the contract dollars going to MBEs and WBEs (41%) went to certified firms. A greater share of professional services subcontract dollars went to majority-owned certified SBEs (48%).

16. County professional services subcontract dollars going to MBEs, WBEs and other firms, January 2020–December 2024

	Number of subcontracts	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	4	\$ 22	0.78 %
Asian American-owned	14	\$ 585	20.38
Hispanic American-owned	3	\$ 32	1.12
American Indian-owned	0	\$ 0	0.00
MENA American-owned	0	\$ 0	0.00
Total MBE	21	\$ 639	22.29 %
WBE (white woman-owned)	20	\$ 537	18.72
Total MBE/WBE	41	\$ 1,176	41.01 %
Majority-owned	32	\$ 1,693	58.99
Total	73	\$ 2,869	100.00 %
Certification status			
Black American-owned	4	\$ 22	0.78 %
Asian American-owned	14	\$ 585	20.38
Hispanic American-owned	3	\$ 32	1.12
American Indian-owned	0	\$ 0	0.00
MENA American-owned	0	\$ 0	0.00
Total MBE	21	\$ 639	22.29 %
WBE (white woman-owned)	20	\$ 537	18.72
Total MBE/WBE	41	\$ 1,176	41.01 %
Majority-owned	20	\$ 1,385	48.26
Total certified	61	\$ 2,561	89.27 %
Non-certified	12	308	10.73
Total	73	\$ 2,869	100.00 %

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Goods

About 14 percent of County goods procurement dollars went to MBEs and WBEs. Figure 17 displays these results.

The bottom portion of Figure 17 also shows utilization for certified firms. Certified MBE/WBEs accounted for about one-third of the dollars going to all MBE/WBEs.

When examining utilization of all certified firms, majority-owned SBEs accounted for most of those goods contract dollars.

17. County goods contract dollars going to MBEs, WBEs and other firms, January 2020–December 2024

	Number of procurements	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	51	\$ 4,947	5.38 %
Asian American-owned	8	\$ 375	0.41
Hispanic American-owned	22	\$ 442	0.48
American Indian-owned	0	\$ 0	0.00
MENA American-owned	14	\$ 1,059	1.15
Total MBE	95	\$ 6,823	7.43 %
WBE (white woman-owned)	182	\$ 5,659	6.16
Total MBE/WBE	277	\$ 12,482	13.58 %
Majority-owned	1,589	\$ 79,401	86.42
Total	1,866	\$ 91,883	100.00 %
Certification status (MBE/WBE/DBE/SBE)			
Black American-owned	38	\$ 2,840	3.09 %
Asian American-owned	3	\$ 300	0.33
Hispanic American-owned	1	\$ 6	0.01
American Indian-owned	0	\$ 0	0.00
MENA American-owned	4	\$ 53	0.06
Total MBE	46	\$ 3,200	3.48 %
WBE (white woman-owned)	44	\$ 1,033	1.12
Total MBE/WBE	90	\$ 4,234	4.61 %
Majority-owned	78	\$ 11,336	12.34
Total certified	168	\$ 15,570	16.95 %
Non-certified	1,698	76,313	83.05
Total	1,866	\$ 91,883	100.00 %

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Other Services

Keen Independent examined 782 County other services contracts that totaled \$72 million. Of these dollars, 22 percent went to MBE/WBEs. WBEs accounted for most of the total MBE/WBE utilization for other services contracts.

The bottom of Figure 18 shows utilization for other groups of firms. Certified MBE/WBEs accounted for about 20 percent of other services contract dollars. WBEs that were certified received most of the other services contract dollars going to certified firms.

18. County other services contract dollars going to MBEs, WBEs and other firms, January 2020–December 2024

	Number of procurements	Dollars (1,000s)	Percent of dollars
Business ownership			
Black American-owned	31	\$ 1,560	2.16 %
Asian American-owned	4	\$ 34	0.05
Hispanic American-owned	14	\$ 1,138	1.58
American Indian-owned	0	\$ 0	0.00
MENA American-owned	0	\$ 0	0.00
Total MBE	49	\$ 2,732	3.78 %
WBE (white woman-owned)	86	\$ 12,992	18.00
Total MBE/WBE	135	\$ 15,723	21.79 %
Majority-owned	647	\$ 56,447	78.21
Total	782	\$ 72,171	100.00 %
Certification status (MBE/WBE/DBE/SBE)			
Black American-owned	14	\$ 1,253	1.74 %
Asian American-owned	4	\$ 34	0.05
Hispanic American-owned	12	\$ 1,074	1.49
American Indian-owned	0	\$ 0	0.00
MENA American-owned	0	\$ 0	0.00
Total MBE	30	\$ 2,361	3.27 %
WBE (white woman-owned)	31	\$ 12,273	17.01
Total MBE/WBE	61	\$ 14,634	20.28 %
Majority-owned	37	\$ 2,175	3.01
Total certified	98	\$ 16,809	23.29 %
Non-certified	684	55,362	76.71
Total	782	\$ 72,171	100.00 %

Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

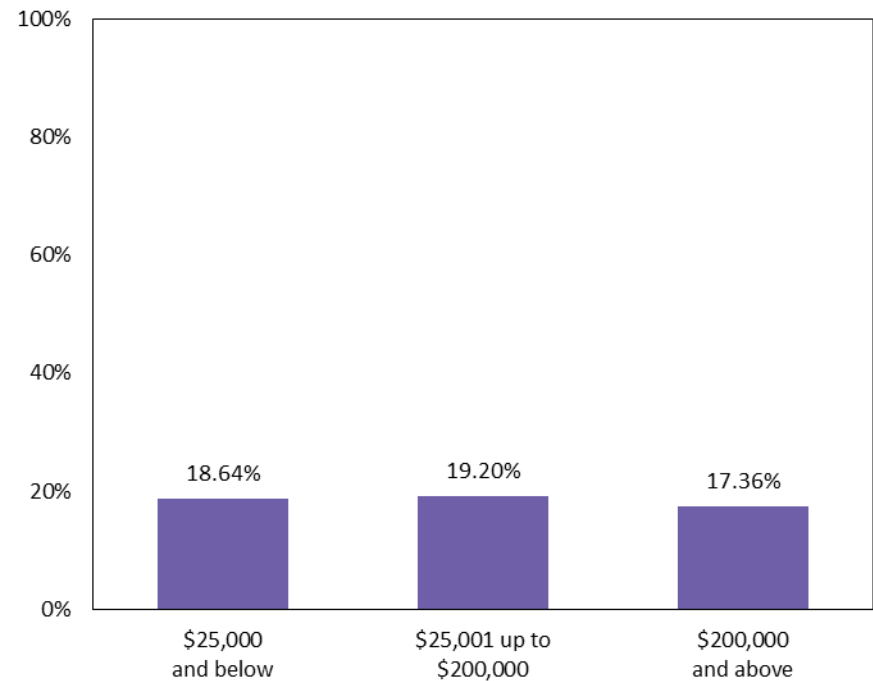
SUMMARY REPORT — Utilization analysis

MBE/WBE Utilization by Size of Contract

Keen Independent examined the utilization of minority- and woman-owned businesses on County procurements by the size of the purchase. This analysis excludes subcontracts.

There was little difference in overall MBE/WBE utilization by size of contract.

19. County prime contract dollars going to MBEs, WBEs and other firms on by size of procurement, January 2020–December 2024



Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

MBE/WBE Utilization by County Contract Equity Program Application

Keen Independent compared minority- and woman-owned business utilization on procurements where County contract equity program elements were applied to where no program elements applied.

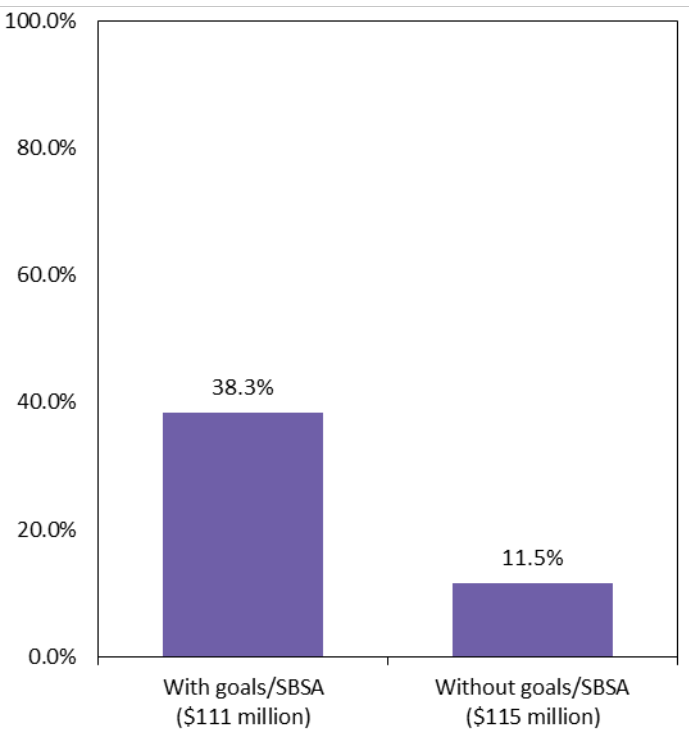
During the 2020 to 2024 study period, the County applied race- and gender-neutral as well as race- and gender-conscious contract equity measures to each of the study industries. However, there were very few non-construction contracts where these programs applied. Therefore, Figure 20 focuses on construction contracts.

Additionally, the County applied multiple contract equity program elements to a single contract. For example, some prime contracts awarded as part of the Small Business Set Aside (SBSA) program had MBE/WBE subcontract goals.

For these reasons, Keen Independent examined MBE/WBE utilization on construction contracts with subcontract goals and/or SBSA program application to compare against construction contracts without these program elements.

As shown in Figure 20, MBE/WBE utilization on County construction contracts with program elements (38.3%) was about three times greater than on construction contracts without program elements (11.5%).

20. Share of County construction contract dollars going to minority- and woman-owned firms with and without application of County contract equity programs, January 2020–December 2024



Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Utilization analysis

Small Business Utilization

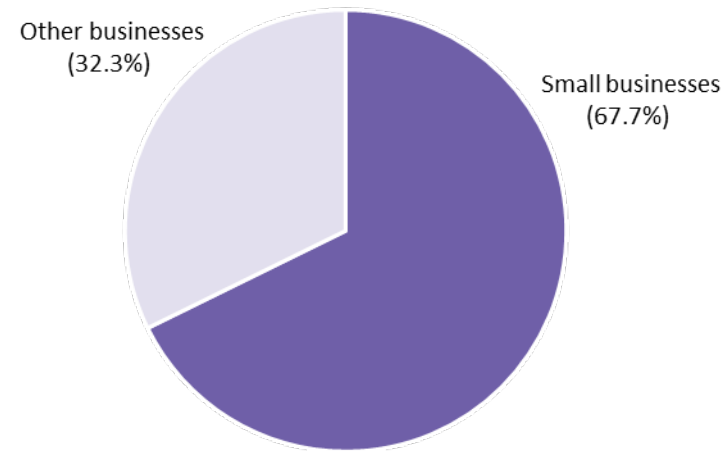
Keen Independent also evaluated small business participation in County contracts and subcontracts. The study team classified businesses as “small” according to the U.S. Small Business Administration’s size standards using revenue data from Dun & Bradstreet and responses to the 2025 availability survey, as well as certification data from directories and other ownership sources.

As shown in Figure 21, Keen Independent estimates that about two-thirds of County contract dollars went to small businesses (including certified and non-certified small businesses).

The study team also examined the share of dollars going to small businesses by industry. By industry, small businesses’ share of County contract dollars was:

- 73 percent for construction;
- 71 percent for professional services;
- 61 percent for goods; and
- 54 percent for other services contracts.

21. County procurement dollars going to small businesses, 2020–2024



Source: Keen Independent analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Availability analysis

Disparity studies compare the actual utilization of MBE/WBEs to what would be expected based on the availability of firms to perform that work. Keen Independent conducted a survey of businesses in the Cleveland metro area to identify companies indicating they were qualified and interested (ready, willing and able) to work on public sector contracts and subcontracts.

The survey asked about the types of work performed, sizes of contracts they bid, regions of the state they serve and the ownership of the firm.

Figure 22 outlines the steps to completing the survey.

Methodology

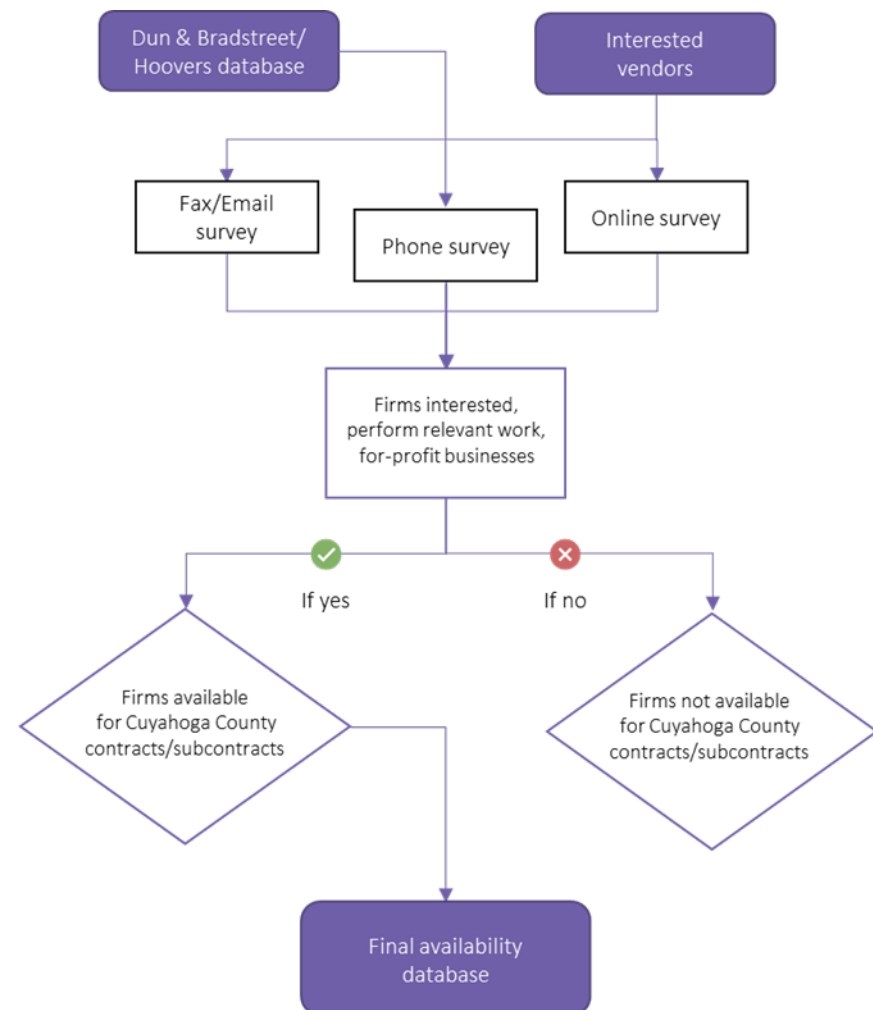
List of firms to be contacted. Keen Independent developed the list of firms to be contacted in the availability survey by collecting and combining the County's list of firms that had indicated interest in bid opportunities, supplemented by data from Dun & Bradstreet (D&B) Hoover's business establishment database.

Use of D&B information has been accepted and approved by federal courts in connection with disparity study methodology. The study team obtained listings for companies that D&B identified as:

- Having a location in the Cleveland metro area; and
- Performing work or providing construction, professional services, goods and other services that the study team determined were potentially related to the types of contracts frequently purchased by the County.

About 13,500 business establishments were on this initial list. Only some of the firms expressed qualifications and interest in County contracts, as described in the following pages.

22. Availability survey process



SUMMARY REPORT — Availability analysis

Online surveys. Keen Independent developed an online availability survey that could be completed by any firm. Companies could go to the Cuyahoga County study website to complete an availability survey or click on a link on an email received from the County. The County sent an email to encourage firms on the interested firms list to participate in the survey on February 12, 2025. The County sent reminders to participate in the online survey on February 24 and March 7, 2025.

Telephone surveys. Keen Independent also prepared a phone version of the availability survey. Keen Independent submitted a list of firms to Customer Research International (CRI), which then conducted telephone surveys.

- **Firms contacted by telephone.** CRI attempted to contact each firm at different times of day and different days of the week. CRI made at least five attempts to reach a business. CRI introduced the survey in Spanish, as necessary.
- **Survey sponsorship.** CRI began by saying that the call was made on behalf of Cuyahoga County. CRI explained, “The County is reaching out to companies interested in working on a wide range of construction, professional services, goods and other services contract opportunities and our firm is helping them do that.”
- **Survey period.** CRI began surveys on February 18, 2025, and completed them on March 19, 2025. Firms not responding to a request to complete an online survey were contacted by phone as long as they had a working number.

Other avenues to complete a survey. Business owners could complete the survey online or using a fillable form that could be returned via email or fax.

Information collected. Survey questions covered topics including:

- Types of work performed or goods supplied;
- Qualifications and interest in performing work or supplying goods for the County;
- Qualifications and interest in performing work as a prime contractor and/or as a subcontractor;
- If companies had other locations and whether their establishments are affiliates or subsidiaries of other firms;
- Largest prime contract or subcontract bid on or performed in the past five years;
- Annual revenue;
- Year of establishment;
- Race/ethnicity and gender of firm owners; and
- Potential barriers in the marketplace.

Screening firms for the availability database. Keen Independent considered businesses to be potentially available for a public sector contract or subcontracts if they reported possessing all of the following characteristics:

- Were a private, for-profit business with a local address in the Greater Cleveland marketplace;
- Expressed qualifications and interest in County work; and
- Performed work relevant to public sector contracts.

There were 1,078 unique firms completing the survey that met these criteria.

SUMMARY REPORT — Availability analysis

Availability Survey Results

The study team successfully contacted 3,991 businesses in the phone and online surveys. Most of those businesses did not indicate interest or qualifications in performing work for Cuyahoga County. Combining both phone and online survey responses, the following results are for those firms that did indicate qualifications and interest in working with public entities and met other criteria for inclusion in the availability database. As mentioned on the previous page, the final availability database included 1,078 unique companies.

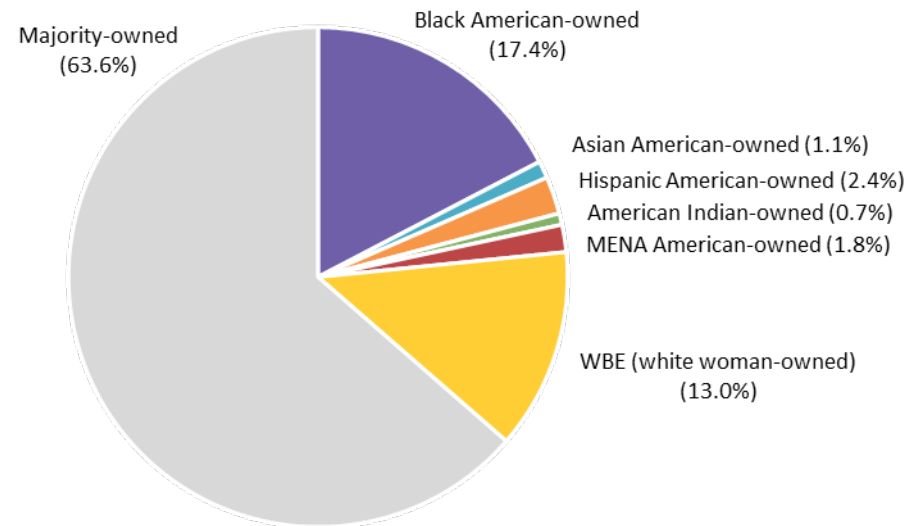
- In total, 36 percent of firms indicating qualifications and interest in Cuyahoga County contracts and subcontracts were owned by people of color (23%) or white women (13%).
- About 64 percent of businesses were owned by white men or were otherwise non-minority, non-woman-owned firms (majority-owned firms).

Figure 23 shows results by individual MBE/WBE group.

Appendix C presents analyses showing that the share of total responses from MBE/WBEs was about what might be expected from the underlying D&B list.

Keen Independent also examined the share of businesses that were small businesses. Approximately 96 percent of businesses met U.S. Small Business Administration small business size standards.

23. MBEs and WBEs as a share of total firms in the availability database, 2025



Source: Keen Independent Research 2025 availability surveys.

Appendix C presents more information about the survey approach, response rates, confidence intervals and analysis of any differences in response rates between groups. It also provides a copy of the survey instrument.

SUMMARY REPORT — Availability analysis

Methodology for Developing Dollar-Weighted Availability Benchmarks

Although MBE/WBEs comprise more than one-third of total firms available for public sector contracts, there are industry specializations in which there are relatively few minority- and woman-owned firms. Also, the study team found that minority-owned firms are less likely than other companies to be available for the largest contracts due to responses to survey items regarding the sizes of contracts or subcontracts competed for or completed during the study period.

Keen Independent conducted a contract-by-contract availability analysis based on specific types and sizes of County contracts and subcontracts for the 2020–2024 study period and dollar-weighted results.

- The study team used the availability database developed in this study, including information about the types of work a firm performed, the size of contracts or subcontracts it bids, and the race, ethnicity and gender of its ownership.
- To determine availability for a contract or subcontract, Keen Independent first identified and counted the firms indicating that they performed that type of work of that size.
- The study team then calculated the MBE and WBE share of firms available for that contract (by race/ethnic group).
- Once availability had been determined for every County contract and subcontract, Keen Independent weighted the availability results based on the share of total County contract dollars that each contract represented.

Figure 24 provides an example of this dollar-weighted analysis for one County subcontract from the 2025 Study.

24. Example of an availability calculation for a County contract

One of the subcontracts examined was for electrical work (\$479,923) on a 2023 contract. To determine the number of MBE/WBEs and majority-owned firms available for that subcontract, the study team identified businesses in the availability database that:

- Were in business in 2023;
- Indicated that they performed electrical work;
- Indicated qualifications and interest in such subcontracts; and
- Reported bidding on work of similar or greater size in the past eight years in the market area.

There were 43 businesses in the availability database that met those criteria. Of those businesses, 13 were MBE/WBEs. Therefore, MBE/WBE availability for the subcontract was about 28 percent ($13/43 = 27.9\%$).

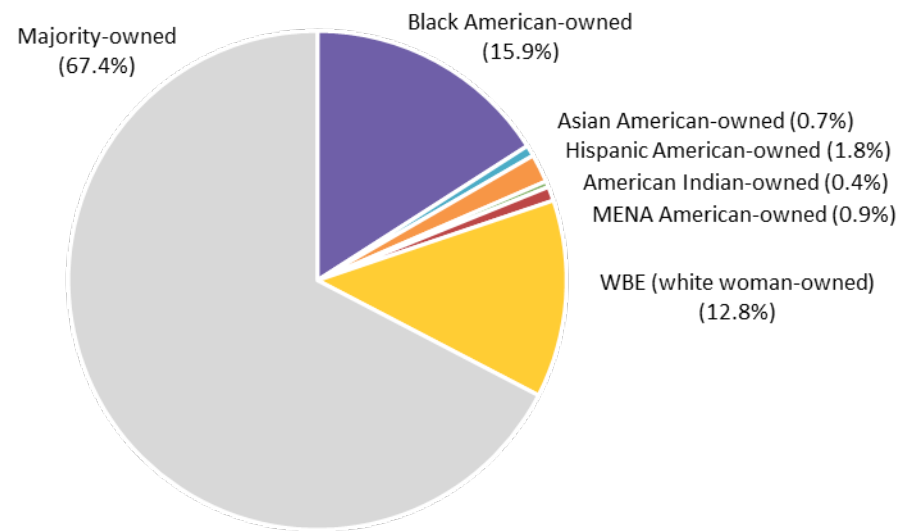
The contract weight was $\$479,923 \div \$506 \text{ million} = 0.09\%$ (equal to its share of total County procurement dollars). Keen Independent made this calculation for each prime contract and subcontract and then summed the results.

Dollar-Weighted Availability Results

The contract-by-contract availability analysis described on the previous page determined that about 33 percent of County contract dollars might be expected to have gone to MBEs and WBEs during the study period. (See Figure 25.)

Not all businesses are equally available for all types and sizes of County contracts and subcontracts. The contract-by-contract analysis accounts the types and sizes of contracts that each available firm can perform, which explains why the weighted availability benchmark for the share of County contract dollars expected to go to different MBE/WBE groups differs from the headcount availability in Figure 23. For example, Black American-owned firms were about 17 percent of the availability database but the dollar-weighted availability for this group was about 16 percent.

25. Dollar-weighted availability for County contracts



Source: Keen Independent Research 2025 availability surveys and analysis of Cuyahoga County procurement data, January 2020–December 2024.

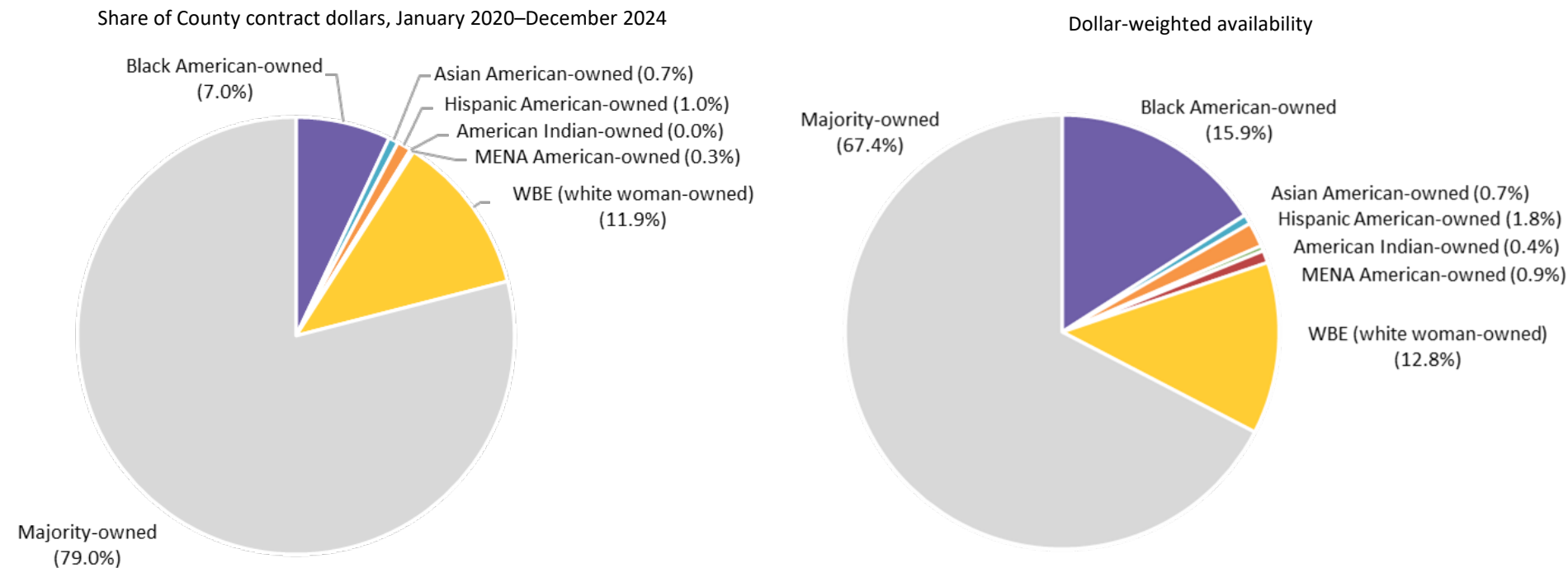
SUMMARY REPORT — Disparity analysis

Comparing Overall MBE/WBE Utilization and Availability

Disparity analyses compare the share of procurement dollars going to MBE/WBEs with the dollar-weighted availability benchmarks described in previous pages.

As shown in Figure 26, the share of County procurement dollars going to MBEs and WBEs (21%) was less than what might be expected based on the availability analysis of firms qualified and interested (ready, willing and able) in doing business with the County (33%).

26. Utilization and availability of MBE/WBEs for County contracts, January 2020–December 2024



Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Disparity Analysis by Group

Figure 27 compares utilization and availability for each MBE group and for white woman-owned firms. The overall share of County procurement dollars going to MBEs and WBEs of about 21 percent was below what might be expected based on the availability analysis of firms qualified and interested (ready, willing and able) in doing business with the County, about 33 percent.

Following direction from court decisions, Keen Independent calculated disparity indices to compare utilization and availability.

- A disparity index is calculated by dividing utilization by availability and multiplying by 100, where a value of “100” equals parity.
- An index of less than 80 is described as “substantial.”

The disparity index for MBE/WBEs overall for County contracts was 64, indicating a substantial disparity.

There were substantial disparities for firms owned by Black Americans (a disparity index of 44), Hispanic Americans (57), American Indians (1) and MENA Americans (29). The disparity index for MBEs overall (46) also indicates a substantial disparity.

There was no substantial disparity for white woman-owned companies.

Disparity results vary by industry and by application of the County’s contract equity program elements, as discussed in the following pages.

⁹ Griffin & Strong, P.C. (2020). Cuyahoga County 2020 Disparity Study.

27. Utilization and availability of MBE/WBEs for County prime contracts and subcontracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	7.01 %	15.92 %	44
Asian American-owned	0.72	0.72	101
Hispanic American-owned	1.04	1.84	57
American Indian-owned	0.01	0.39	1
MENA American-owned	0.27	0.92	29
Total MBE	9.05 %	19.80 %	46
WBE (white woman-owned)	11.94	12.81	93
Total MBE/WBE	20.99 %	32.61 %	64
Majority-owned	79.01	67.39	117
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis County procurement data, January 2020–December 2024.

Keen Independent compared these results to the disparity study conducted for the County in 2020.⁹ Disparities for MBEs and WBEs persist in spite of additional race- and gender-conscious County efforts, although their severity appears to have been reduced or eliminated for some groups.¹⁰

¹⁰ Direct comparison between the 2020 Study and 2025 Study is limited due to differences in methodology for calculating MBE/WBE utilization and availability.

SUMMARY REPORT — Disparity analysis

Disparity Analysis by Industry

Keen Independent calculated the utilization, weighted availability and disparity indices for County procurements by study industry.

Construction disparity analysis. Figure 28 compares utilization and availability for each MBE group and for white woman-owned firms for County construction contracts (prime contracts and subcontracts combined).

- Overall utilization of MBE/WBEs (25%) was somewhat below what might be expected from the availability analysis (28%).
- Utilization was substantially lower than availability for Black American-, American Indian- and MENA American-owned businesses. The disparity index for MBE firms overall was 68, a substantial disparity.

The following two pages present results of separate disparity analyses for construction prime contracts and subcontracts.

28. Disparity analysis for County construction prime contracts and subcontracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	10.04 %	17.08 %	59
Asian American-owned	0.99	0.22	200+
Hispanic American-owned	1.31	0.47	200+
American Indian-owned	0.01	0.16	8
MENA American-owned	0.04	0.28	14
Total MBE	12.40 %	18.22 %	68
WBE (white woman-owned)	12.25	9.36	131
Total MBE/WBE	24.65 %	27.59 %	89
Majority-owned	75.35	72.41	104
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Construction prime contracts. Figure 29 examines utilization and availability for County construction prime contracts. Results show substantial under-utilization of MBEs as prime contractors on County construction contracts.

Utilization was substantially lower than availability for Black American-, American Indian- and MENA American-owned firms. The disparity index for MBEs overall was 42. (Note that availability of American Indian- and MENA American-owned companies for these contracts was very low.)

Utilization exceeded availability for Asian American-, Hispanic American and white woman-owned businesses.

The results in Figure 29 include contracts with County contract equity program elements, including the small business sheltered market program.

29. Disparity analysis for County construction prime contracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	6.27 %	16.87 %	37
Asian American-owned	0.50	0.04	200+
Hispanic American-owned	0.48	0.32	153
American Indian-owned	0.00	0.09	0
MENA American-owned	0.05	0.08	61
Total MBE	7.30 %	17.40 %	42
WBE (white woman-owned)	10.82	8.88	122
Total MBE/WBE	18.12 %	26.28 %	69
Majority-owned	81.88	73.72	111
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Construction subcontracts. Figure 30 examines utilization and availability for County construction subcontracts.

Overall utilization of MBEs and WBEs was greater than what might be expected from the availability analysis for those subcontracts.

- Black American-, Asian American-, Hispanic American- and white woman-owned firm utilization exceeded the availability benchmarks for these firms for County construction subcontracts.
- Utilization was substantially lower than availability for American Indian- and MENA American-owned businesses on County construction subcontracts.

Note that the County tracks subcontract payment data for certified subcontractors on contracts with subcontract goals. The County and Keen Independent collected additional subcontract payment data directly from prime contractors for non-certified subcontractors on contracts without goals and all subcontractors on contracts without goals. Since primes were less likely to subcontract when no goals were applied to a contract, most of the dollars examined in Figure 30 went to subcontractors with County subcontract participation goals.

30. Disparity analysis for County construction subcontracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	22.28 %	17.79 %	125
Asian American-owned	2.61	0.80	200+
Hispanic American-owned	4.00	0.96	200+
American Indian-owned	0.05	0.40	13
MENA American-owned	0.00	0.94	0
Total MBE	28.94 %	20.89 %	139
WBE (white woman-owned)	16.92	10.92	155
Total MBE/WBE	45.85 %	31.81 %	144
Majority-owned	54.15	68.19	79
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Professional services disparity analysis. Figure 31 compares utilization and availability for each MBE group and for white woman-owned firms for January 2020–December 2024 County professional services contracts. The County could set SBE or small MBE goals on these contracts.

Results of the disparity analysis for these contracts were as follows.

- Utilization of MBE/WBEs for County professional services contracts was about 19 percent. Availability of MBE/WBEs was higher, at about 31 percent. The disparity index for MBEs and WBEs combined was 61, indicating a substantial disparity.
- Participation of Asian American- and white woman-owned firms was higher than what might be anticipated from the availability analysis.
- Utilization was below availability (substantial disparities) for Black American-, Hispanic American-, American Indian- and MENA American-owned firms on County professional services contracts.

Keen Independent’s further review of these contracts found that utilization of MBEs and WBEs was higher than expected on professional services subcontracts. Utilization was substantially lower than availability for all MBE groups on professional services prime contracts. These results are discussed in the next two pages.

31. Disparity analysis for County professional services contracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	5.44 %	13.79 %	39
Asian American-owned	0.86	0.63	135
Hispanic American-owned	0.64	4.21	15
American Indian-owned	0.00	0.27	0
MENA American-owned	0.18	0.68	27
Total MBE	7.11 %	19.60 %	36
WBE (white woman-owned)	12.13	11.82	103
Total MBE/WBE	19.24 %	31.42 %	61
Majority-owned	80.76	68.58	118
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Professional services prime contracts. Figure 32 examines utilization and availability for County professional services prime contracts. MBEs overall were substantially under-utilized as prime consultants on these contracts. There were substantial disparities for each MBE group.

Utilization was equal to availability for WBEs.

Note that the results in Figure 32 includes contracts with County contract equity program elements, including the small business sheltered market program. The number of contracts with contract equity program elements did not meet Keen Independent standards for statistical review. However, results did not materially differ when excluding SBSA contracts.

32. Disparity analysis for County professional services prime contracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	5.56 %	13.90 %	40
Asian American-owned	0.36	0.56	65
Hispanic American-owned	0.62	4.26	15
American Indian-owned	0.00	0.25	0
MENA American-owned	0.19	0.63	30
Total MBE	6.73 %	19.61 %	34
WBE (white woman-owned)	11.96	11.95	100
Total MBE/WBE	18.69 %	31.56 %	59
Majority-owned	81.31	68.44	119
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Professional services subcontracts. Figure 33 examines utilization and availability for County professional services subcontracts.

Overall utilization of MBEs and WBEs was greater than what might be expected from the availability analysis for those subcontracts. However, there were substantial disparities for Black American-, Hispanic American-, American Indian- and MENA American-owned firms for these contracts.

Similar to the disparity analysis for County construction subcontracts, the results in Figure 33 are primarily explained by subcontracts on contracts with County participation goals. There were too few subcontracts on professional services contracts without goals to analyze separately. However, results did not materially differ when excluding subcontracts for contracts that had participation goals.

33. Disparity analysis for County professional services subcontracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	0.78 %	9.46 %	8
Asian American-owned	20.38	3.54	200+
Hispanic American-owned	1.12	2.29	49
American Indian-owned	0.00	1.08	0
MENA American-owned	0.00	2.71	0
Total MBE	22.29 %	19.09 %	117
WBE (white woman-owned)	18.72	6.87	200+
Total MBE/WBE	41.01 %	25.95 %	158
Majority-owned	58.99	74.05	80
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Goods disparity analysis. Figure 34 examines utilization and availability for each MBE group and for white woman-owned firms for County goods procurements.

- Utilization of MBE/WBEs (13.6%) was substantially below the availability benchmark (39.4%). The disparity index for MBE/WBEs together was 35 (a substantial disparity).
- Utilization was below availability for each MBE racial group and white woman-owned businesses. There were substantial disparities for each of these groups.

The County applies subcontract goals to goods procurements. However, there were too few County goods contracts with goals and their subcontracts to analyze separately. Results did not materially differ when excluding these contracts and subcontracts.

34. Disparity analysis for County goods contracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	5.38 %	13.18 %	41
Asian American-owned	0.41	0.55	75
Hispanic American-owned	0.48	2.37	20
American Indian-owned	0.00	0.19	0
MENA American-owned	1.15	3.33	35
Total MBE	7.43 %	19.61 %	38
WBE (white woman-owned)	6.16	19.75	31
Total MBE/WBE	13.58 %	39.36 %	35
Majority-owned	86.42	60.64	143
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Other services disparity analysis. Figure 35 compares utilization and availability for other services procurements for each MBE group and for white woman-owned firms.

For 2020–2024 County other services contracts:

- Utilization of MBE/WBEs was about 22 percent compared to the availability benchmark of about 42 percent. The disparity index for MBE/WBEs combined for County other services contracts was 52, a substantial disparity.
- There was a substantial disparity for each group of minority-owned businesses, except Hispanic American-owned firms.
- White woman-owned participation on County other services contracts was higher than what might be anticipated from the availability analysis.

The County also applied subcontract goals to other services contracts. Results did not materially differ when excluding these contracts and subcontracts.

35. Disparity analysis for County other services contracts, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	2.16 %	19.23 %	11
Asian American-owned	0.05	2.62	2
Hispanic American-owned	1.58	1.65	95
American Indian-owned	0.00	1.56	0
MENA American-owned	0.00	0.24	0
Total MBE	3.78 %	25.29 %	15
WBE (white woman-owned)	18.00	16.39	110
Total MBE/WBE	21.79 %	41.68 %	52
Majority-owned	78.21	58.32	134
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Disparity Analysis by Program Application

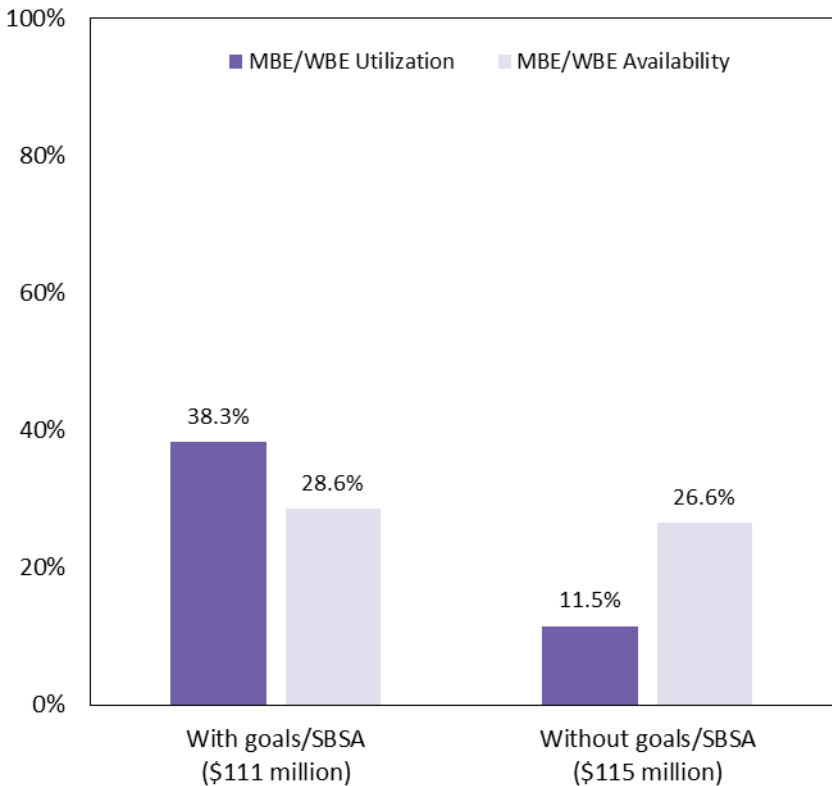
Keen Independent compared minority- and woman-owned business utilization on procurements where County contract equity program elements were applied to where no program elements applied.

As shown in Figure 36, County programs appear to have effectively eliminated the disparity for minority- and woman-owned businesses (combined) on County construction contracts and subcontracts overall.

- For construction contracts that either had subcontract goals or were awarded as part of the SBSA program, MBE/WBE utilization (38.3%) exceeded availability (28.6%); and
- MBE/WBE utilization (11.5%) was less than one half of the availability benchmark (26.6%) for construction contracts without these program elements.

While these contract equity program elements appear to have been effective for MBE/WBEs overall, not all minority groups benefited from the County’s contract equity program elements, as discussed below.

36. MBE/WBE utilization and availability for County construction contract dollars by application of County contract equity programs, January 2020–December 2024



Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

County construction contracts and subcontracts where contract equity program elements applied. Figure 37 compares the utilization and availability for each MBE group and for white woman-owned firms for County construction contracts where program elements applied.

- Utilization was substantially below availability (substantial disparities) for American Indian- and MENA American-owned businesses.
- Utilization exceeded availability for Asian American-, Hispanic American and white woman-owned businesses.

The use of County contract equity program elements increased the participation of MBE/WBEs. However, disparity analysis when program elements applied indicates that it did not eliminate the substantial disparities for American Indian- and MENA American-owned businesses.

37. Disparity analysis for County construction contracts and subcontracts where contract equity program elements applied, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	16.59 %	17.89 %	93
Asian American-owned	1.91	0.34	200+
Hispanic American-owned	2.49	0.48	200+
American Indian-owned	0.03	0.19	13
MENA American-owned	0.00	0.42	0
Total MBE	21.01 %	19.32 %	109
WBE (white woman-owned)	17.30	9.33	185
Total MBE/WBE	38.31 %	28.65 %	134
Majority-owned	61.69	71.35	86
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

County construction contracts and subcontracts without contract equity program elements. Figure 38 compares utilization and availability for construction contracts where program elements were not applied. This provides an indication for minority- and woman-owned companies on County contracts, but for the application of County contract equity program elements.

Overall, MBE/WBE utilization was substantially below availability for these contracts (disparity index of 43). There were substantial disparities for Black American-, Asian American-, Hispanic American-, MENA American- and white woman-owned businesses.

Utilization of Asian American-owned firms was what was expected from the availability analysis for County construction contracts without application of County contract equity program (0.11% utilization and 0.11% availability after rounding). This disparity index is slightly higher than “100” for this group for these contracts.

38. Disparity analysis for County construction contracts and subcontracts where contract equity program elements were not applied, January 2020–December 2024

	Utilization	Availability	Disparity index
Black American-owned	3.73 %	16.31 %	23
Asian American-owned	0.11	0.11	105
Hispanic American-owned	0.18	0.45	39
American Indian-owned	0.00	0.14	0
MENA American-owned	0.08	0.15	51
Total MBE	4.10 %	17.16 %	24
WBE (white woman-owned)	7.39	9.40	79
Total MBE/WBE	11.49 %	26.56 %	43
Majority-owned	88.51	73.44	121
Total	100.00 %	100.00 %	

Note: Percentages may not add to totals due to rounding.
Disparity index = 100 × Utilization/Availability.

Source: Keen Independent Research 2025 availability survey and analysis of County procurement data, January 2020–December 2024.

SUMMARY REPORT — Disparity analysis

Statistical Confidence in Results

Keen Independent conducted additional analyses to assess whether the disparities for woman-owned firms could have occurred by chance (i.e., whether results are “statistically significant”).

Examination of whether chance in sampling could explain any disparities. Keen Independent can reject sampling in the collection of utilization and availability information as a cause for any disparities.

- Keen Independent attempted to compile a complete “population” of County contracts for the study. There was no sampling of County contracts or subcontracts. Using a set of data approaching a population provides statistical confidence in utilization results.
- Keen Independent’s availability survey attempted to obtain a population of firms within the Greater Cleveland marketplace that are available for County contracts. There was no sampling of firms to be included in the survey since Keen Independent obtained the complete list of firms that Dun & Bradstreet identified as doing business within relevant lines of work. The overall response rate to the survey was very high (36%) and the confidence interval for MBE/WBE availability is within +/- 2.5 percentage points.

Monte Carlo simulation to examine chance in contract awards.

One can be more confident in making certain interpretations of the disparity results if they are not easily replicated by chance in contract awards. Keen Independent performed Monte Carlo simulation to

determine whether chance could explain the disparities observed for woman-owned firms on County contracts.

All County contracts. None of the 10,000 Monte Carlo simulations produced utilization equal to or less than the observed utilization for minority-owned firms. Therefore, one can be confident that the disparity observed for MBEs in County procurements is not due to chance in contract awards at the 95 percent confidence level.

About three-quarters of the Monte Carlo simulations of County contract awards (about 7,700 out of 10,000 Monte Carlo simulations) replicated the observed disparity for white woman-owned firms through chance in contract awards. Chance in contract awards therefore cannot be rejected as an explanation for the observed disparity for white woman-owned businesses. This is consistent with the disparity index of 93 for WBEs for County contracts overall, which was far closer to parity (100) than found for MBEs (disparity index of 46).

County construction contracts without contract equity program elements. None of the 10,000 simulations produced utilization equal to or less than the utilization on contracts without equity program elements. For WBEs, about 34 percent of simulations reproduced utilization equal to or less than the observed utilization. Therefore, chance in contract awards can be rejected as an explanation for the disparities observed for MBEs but not for WBEs on these contracts.

It is important to note that this test may not be necessary to establish statistical significance of results. It also may not be appropriate for very small populations of firms.¹¹

¹¹ Even if there were zero utilization of a group, Monte Carlo simulation might not reject chance in contract awards as an explanation for that result if there were a small number

of firms in that group or a small number of contracts and subcontracts in the analysis. Results can also be affected by the size distribution of contracts and subcontracts.

SUMMARY REPORT — Conclusions and recommendations

Conclusions

Cuyahoga County's small business and MBE/WBE program elements work to remove barriers for small minority- and woman-owned firms to participate in its non-federally funded contracts. The County expanded its SBE efforts and introduced race- and gender-conscious program elements after the County's 2020 disparity study. Among County contracts examined for 2020–2024, about 68 percent of the contract dollars went to small businesses, including those that were not certified as SBEs.

The County's utilization of minority- and woman-owned owned firms appears to have increased since the 2020 Study.

For County contracts overall, there were substantial disparities between the utilization and availability of MBEs overall. Chance in contract awards can be rejected as a cause of the disparity for MBEs. By group, there were substantial disparities for Black American-, Hispanic American-, American Indian- and MENA American-owned firms. There were substantial disparities for each of these groups when separately examining County construction, professional services, goods and other services contracts (except for Hispanic American-owned firms for other services contracts).

There were substantial disparities for Asian American-owned companies in County goods and other services contracts and for professional services prime contracts.

For County contracts overall, utilization was only somewhat below availability for white woman-owned firms (not a substantial disparity) and chance in contract awards could not be ruled out as a cause of the difference between utilization and availability for WBEs. There were no disparities in the utilization of WBEs in County contracts when separately examining construction, professional services and other

services contracts. There was a substantial disparity for WBEs for goods procurements. When examining County construction contracts for which County race- and gender-conscious programs did not apply, there was a substantial disparity for white woman-owned firms (disparity index of 79), but chance in contract awards could not be rejected as a cause of that disparity.

Cuyahoga County should review all of the results in the disparity study and other information it may have to determine whether a combination of small business programs and other neutral measures supplemented as needed by narrowly-tailored race- and gender-conscious contract goals may be appropriate to remedy the disparities in its utilization of minority- and woman-owned businesses in its contracts.

Need for Action

A summary list of these actions is presented below.

39. Summary of actions for Cuyahoga County consideration

1. Establish separate objectives for (A) small business measures and (B) remedial action to address the effects of any discrimination
2. Develop and monitor metrics to gauge success
3. Authorize and develop a full set of tools to address County objectives
4. Authorize and develop a full set of registrations and certifications to address County objectives
5. Provide adequate resources to effectively operate programs

SUMMARY REPORT — Conclusions and recommendations

1. Establish Separate Objectives for (A) Small Business Measures and (B) Remedial Action to Address the Effects of Any Discrimination

We recommend that the County reauthorize or adopt objectives for (A) small businesses and (B) minority- and woman-owned businesses as well as other firms that could be affected by discrimination.

Small businesses. Participation of Greater Cleveland small businesses in County procurement is beneficial for several reasons, including:

- Small business start-up and growth create opportunities for entrepreneurs and generate jobs, worker skill development and income for area residents;
- Some types of County contracts may be best delivered by small businesses; and
- Supporting small vendors today increases the supply of bidders on future public contracts.

Any of these reasons might be cause for the County to celebrate growth in small business participation in its contracts. The County might set a goal and track overall share of contract dollars going to small businesses, the number of individual small businesses involved in its contracts and subcontracts, and the number of new small businesses participating in County procurement each year. Positive trends would be important for those businesses and to the region's economy.

After excluding types of purchases that might only be made from a national market, small businesses obtained 68 percent of County contract dollars for the study period. The County might consider an overall aspirational goal of 75 percent for the share of annual contract dollars going to small businesses (including non-certified firms). This level of small business is possible based on Keen Independent's analysis of firms in the availability survey and past County contracts.

Businesses affected by discrimination. Although most MBE/WBEs are small businesses, a public entity must answer a different set of questions before it can consider actions that focus on those firms.

- Start-up and growth of minority- and woman-owned firms also create opportunities for entrepreneurs, generate jobs, enhance the supply of bidders and benefit the local economy (which cannot be working at full capacity if it is leaving up to one-third of its local businesses behind). However, those facts do not establish a legal basis for a public entity to aid certain firms based on the race or gender of the business owner.
- For MBE/WBEs, key issues for a public entity to consider are:
 - Whether its procurement system has direct or indirect discriminatory effects on minority- and woman-owned companies or its public contract dollars perpetuate systemic discrimination in the local marketplace; and
 - If so, whether a remedial program not based on race or gender is sufficient to address such discrimination.
- In sum, “preventing and remedying discrimination” are the fundamental concepts behind MBE/WBE elements of a contract equity program. The disparity study focused on understanding any discrimination affecting County procurement and identifying means to combat it.
- The County should establish a specific objective of remedying the effects of discrimination against businesses based on the race, gender or other immutable personal attributes of its owner. The evidence indicates that a small business program are needed but alone would not be sufficient to remedy the effects of discrimination related to County contract opportunities.

SUMMARY REPORT — Conclusions and recommendations

Keen Independent offers additional overall recommendations for consideration:

- There may be certain businesses owned by minority groups not examined in this study that may face social disadvantage based on race.
- Business owners can also face discrimination based on their personal characteristics unrelated to race or gender

Therefore, Keen Independent recommends that the County consider reviewing a certification application from any small business owner who seeks to show they have been negatively affected by discrimination based on their immutable personal characteristics.

Such assistance requires a certification process for those businesses. This might be accomplished under one or more existing certification systems in Ohio or could require a new business certification. Certification by either path would require review of individual business owner marketplace experiences and not presume social disadvantage solely from their race or gender. The business owner would also need to show economic disadvantage. For purposes of this report, the designation for socially and economically disadvantaged business enterprises without presumption of disadvantage based on group is called “SEDBE certification.” Firms certified under this designation would be eligible to participate in County contract equity program elements.

After reviewing the results of this disparity study and other information it may have, the County might determine that it can no longer make a presumption of social disadvantage based on the race or gender of the business owner for certain groups of MBEs or for WBEs in certain industries. If so, the County could offer such firms the opportunity to show social disadvantage on an individual basis through applications for SEDBE certification. Pertinent economic criteria would also still apply.

Next steps. After considering the evidence in this study and any other information County has available, it might:

- Adopt a resolution formalizing its objectives concerning small businesses and firms disadvantaged by discrimination;
- Outline how will achieve those objectives;
- Authorize staff to take steps to take needed actions;
- Require regular staff reporting on progress; and
- Establish a sunset date for those activities after which any further activities would need future County Council consideration (perhaps five to seven years).

An overall aspirational goal for small businesses could be a part of how the County articulates its objectives.

SUMMARY REPORT — Conclusions and recommendations

2. Develop and Monitor New Metrics for Success

The County has developed and operated systems that can track its success in achieving its small business and non-discrimination objectives.

Small businesses. The County should continue to track metrics on the success of small businesses in its contracts. Those metrics should consider small businesses that have been certified as such as well as those that have not. Examples of metrics include:

- Number of individual contracts and subcontracts going to small businesses and emerging small businesses (see Recommendation 4c).
- Contract and subcontract dollars going to small businesses.
- Number of small businesses involved in its contracts and subcontracts.
- Number of new small businesses obtaining County contracts and subcontracts each year.
- Small contracts going to small businesses.
- On publicly advertised contracts, number of bids and proposals received from small businesses

Each of those metrics can be expressed in total and as a share of County contracts or dollars (after excluding national market purchases).

MBE/WBE and other disadvantaged businesses. The metrics related to small businesses can be adapted to track participation of MBEs, WBEs and other potentially disadvantaged business groups. As with small business metrics, the County should track certified firms and all businesses, regardless of certification.

For each racial group of MBEs, for WBEs, and for each other set of small disadvantaged businesses, the County should periodically gauge whether utilization for each group is closer to what would be expected based on the group's availability for County contracts. The County might consider using the availability benchmarks for groups that Keen Independent provided in this study.

As County tracking and monitoring become more comprehensive, the County might consider analyzing the participation of large, small and emerging small MBE/WBE businesses in its contracts. It could also review whether there was any evidence that participation of certified MBE/WBEs was limited to only a few firms or whether it was broadly distributed.

Next steps. The County will need to expand its current tracking to include all small businesses and all MBE/WBEs (and possibly other groups of firms).

Keen Independent is providing the County information about size and ownership of the firms that obtained County contracts and subcontracts for the January 2020–December 2024 study period, as well as data for firms receiving other entities' contracts.

SUMMARY REPORT — Conclusions and recommendations

3. Authorize and Develop a Full Set of Tools to Address County Objectives

To date, the County has implemented a broad range of program elements. Keen Independent recommends that the County consider maintaining a full set of tools as part of a combined small business and contract equity program and more fully utilizing elements beyond contract goals programs. It also might revise certain program elements. This recommendation discussed the following

- a. Continued business assistance, including access to capital.
- b. Continued recruitment, bid notification and procurement education.
- c. Continued unbundling and addressing potentially restrictive procurement elements.
- d. Continuing to operate contract goals programs but revising incentives for program compliance.
- e. Improving access to small purchases.
- f. Reevaluating price matching.
- g. Expanding sheltered market contracts and cooperative purchasing.

The first and second initiatives pertain to County participation in regional efforts to support small businesses and businesses potentially affected by discrimination. The other tools are or could be operated by the County for its own contracts. The final tools — sheltered market programs and cooperative purchasing — would be restricted to businesses that are certified as small businesses (and the subset of SBEs that are ESBEs), MBE/WBEs (as appropriate and defensible), or small disadvantaged business enterprises (SEDBEs). The County flexibly utilizes these tools and should continue to do so. As mentioned under Recommendation 5, these three sets of tools should not be operated

indefinitely without formal evaluation of their effectiveness and continued need.

a. Business assistance, including access to capital. The County should continue to partner with other state and local governments, nonprofits and other groups to help disseminate information about small business assistance efforts, especially for local companies. Access to capital and bonding are two of the greatest needs for small disadvantaged businesses that may currently be inadequately addressed.

Mentor-protégé programs. The County should consider developing a coordinated mentor-protégé program to assist small disadvantaged businesses that are established and could obtain maximum benefit from such a program.

This regional effort might build on current programs that other public entities in Ohio operate as part of the Federal DBE Program. The Ohio Department of Transportation, for example, operates a statewide mentor-protégé program.

Such programs offer hands-on guidance to protégés and encourages mentors to help protégés overcome financial barriers (e.g., by covering the cost of bonds for the subcontractor's portion of a contract).

Mentors might be incentivized to participate in such a program by the County's existing CCBEIP certification or by receiving additional preferences or SBE/MBE/WBE credit on bids for County work.

SUMMARY REPORT — Conclusions and recommendations

Working capital loan programs and bonding programs. The County might also consider participating in regional partnerships related to:

- Continuing to fund working capital for disadvantaged construction firms working on public works projects; and
- A bond guarantee program for disadvantaged construction firms seeking public sector work.

The County is currently funding a Business Growth Lending program providing fixed-term loans for small businesses in the Greater Cleveland area. The County should continue to operate this program and to coordinate with other agencies operating similar programs, such as the Ohio Development Services Agency's loan-guarantee Ohio Capital Access Program and its low-interest Ohio Micro-Loan Program for small and diverse businesses. Pooling resources for such programs might benefit all agencies as well as the small businesses they serve.

Bonding is often a significant hurdle for small contractors to compete for public agency work, even relatively small projects. There is some assistance available concerning bonding and insurance in the Greater Cleveland marketplace, but there appears to be additional need. A partnership that includes the County and the state and other regional agencies might be the best way to approach this barrier for small and disadvantaged businesses

As an example of a bond guarantee program, the Colorado Department of Transportation (CDOT) partnered with Lockton Companies to launch the Bond Assistance Program in 2019 for construction contracts of \$3 million or less. CDOT provides a partial guarantee. As another example, Florida Department of Transportation has a similar Bond Guarantee Program.

b. Recruitment, bid notification and education. The County currently engages the business community in several ways to recruit and train new vendors. Many of these efforts involve other regional public agencies, such as with Ohio or the City of Cleveland. The County should continue cooperating with these entities and engage with other public agencies in the region.

The County will need to continue educating potential bidders on its procurement process, a challenge shared with other public entities. Joint efforts to educate potential bidders could be a productive response. The County should continue holding meetings well in advance of bidding to educate potential small business subcontractors and suppliers about opportunities on the project, as well as publishing its forecast of upcoming public works projects and annual purchases.

c. Unbundling and addressing potentially restrictive procurement elements. The County should continue to review its large contracts that are routinely bid to determine whether any can be divided into smaller segments, as large contract size can be a barrier for small businesses.

The County should also continue to review whether it can eliminate or change potentially restrictive elements of its procurement processes, from bonds to insurance requirements on smaller contracts. The County should review whether it can simplify its insurance requirements for procurement in general and more aggressively utilize its authority to waive bonding and insurance requirements for small businesses on a contract-by-contract basis.

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d. Contract goals program and revising incentives for program compliance. The County sets SBE, MBE and WBE contract goals on certain contracts with subcontract opportunities. It should consider continuing to do so, with certain revisions.

- The County should focus the contract goals program on the types of contracts that often have meaningful contract opportunities: large construction and professional services contracts.
- It should consider setting only an SBE contract goal for smaller contracts that still have subcontracting opportunities and reserve the combination of SBE goals and race- or gender-conscious goals for large contracts.
- If in the future SBE contract goals alone prove sufficient to remedy the effects of discrimination for certain groups of firms, the County should only apply those goals. The County can monitor the effectiveness of SBE contract goals by tracking the participation of MBEs and WBEs on contracts with those goals.
- The County should consider results of the disparity study and other information it has to determine eligibility of certain groups to be counted towards an MBE contract goal for that industry (as well as WBE goal, if it chooses to continue contract goals for that group).

- The County should consider operating its contract goals program in similar fashion to the Federal DBE Program contract goals program, wherein bidders or proposers on contracts can comply with the program by either submitting a utilization plan to meet the contract goals or by showing good faith efforts to do so. Under this program, preferences are not granted for certain methods of compliance over others.

The County might consider requiring compliance with MBE, WBE and SBE program elements as a condition of responsiveness to a bid. Rather than evaluate the bids and proposals from companies that did not produce a utilization plan or good faith efforts to include MBE, WBE or SBE subcontractors, the County might consider “non-compliant” firms as “non-responsive.”

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e. Improving access to small purchases. For small purchases with informal competitive requirements (below \$50,000 during the study period or \$200,000 since May 2025), the County is required to advertise bids for just eight hours. The County extends advertisement duration for these purchases if fewer than three businesses have provided a quote.

Such a short window of opportunity to receive and respond to these opportunities may leave many small businesses behind. Businesses would require staff devoted to constant monitoring of new opportunities. Even with these staff, businesses may not have the capacity to respond within eight hours.

The County should consider extending the minimum duration of advertisement for small purchases, perhaps to seven business days.

f. Reevaluating price matching. The County operates other program elements, including the Cuyahoga County Based Business (CCBB) program and the Cuyahoga County Based Economic Inclusion Program (CCBEIP), which allows businesses with certifications in these programs to match prices within 2 percent of the low bid.

Analysis of the need for a local business program or a program that considers employee diversity at a company were not within the scope of this disparity study. The legal framework for the study presented in Appendix L does not examine these types of programs. The County should review the legal basis for both programs independent of this report.

g. Sheltered market contracts and emerging small businesses. The County operates a sheltered market program for small businesses (the Small Business Set Aside program). This program, combined with subcontract participation goals, may have played a role in reducing disparities for MBEs and WBEs on County construction contracts. There were too few of these contracts to examine separately.

The County should consider applying its SBSA sheltered market program for more of its contracts.

The County might also consider create a subcomponent of the SBSA program that focuses on emerging small businesses (ESBSA). This program element would operate like the SBSA program for SBEs except that only certified emerging small business enterprises (ESBEs) would be eligible to compete for the work. Potential ESBE certification is discussed further below.

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4. Authorize and Develop a Full Set of Registrations and Certifications to Address County Objectives

The County might work with other entities to ensure that it has a full set of registrations and certifications available for its small business and contract equity program operation. These include:

- a. Self-identified small businesses and MBE/WBEs (for outreach and program evaluation).
- b. Certified SBEs, MBEs, WBEs.
- c. Certified emerging small business enterprises (ESBEs).
- d. Socially and economically disadvantaged business enterprises (SEDBEs).

a. Self-identified small businesses, MBE/WBEs and other targeted businesses. The County should request firms bidding on and awarded County contracts and subcontracts to identify whether they are small businesses under the U.S. Small Business Administration size standards. The federal government's System for Award management (SAM) registration system is one example of a procurement system that requests such information. The County can coordinate with other entities in the region to identify the best option for its small business self-certification.

As with obtaining data to track self-identified small businesses, the County should request and maintain information about race and gender ownership of its bidders, vendors and subcontractors. There may be other types of ownership that the County should track as well. This self-identification would not qualify a firm for any County procurement programs.

b. Certified SBEs, MBEs and WBEs. The County should continue using existing systems for certification, including its internal certification program and certification reciprocity with the Ohio Unified Certification Program.

Keen Independent also recommends that the County consider refinements to existing certification criteria, including expanding the geographic criteria to include all counties in the relevant geographic market area and to presume social disadvantage for MENA American-owned businesses applying for MBE certification.

Location. To narrowly tailor its program, the County uses geographic limits in MBE, WBE and SBE certification criteria. These limits are updated based on the relevant geographic market area defined in the most recent disparity study for the County. As discussed above, Keen Independent identified the Greater Cleveland area as the relevant geographic market area (GMA). This federally defined area has expanded since the County's past disparity study to include Ashtabula County. Therefore, the County should consider businesses with a location in Ashtabula County (or any of the other counties in the GMA) to be eligible for MBE, WBE, SBE or SEDBE certification with the County.

MENA American-owned businesses. As part of the disparity study effort, Keen Independent included business owners from the Middle East and North Africa in utilization, availability and disparity analyses. There is evidence of disparities and other disadvantages for those businesses. Based on the results of this study, the County should evaluate whether it can add a presumption of social disadvantage for this racial group when determining firms eligible for MBE certification.

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c. Certified emerging small business enterprises (ESBEs) and socially and economically disadvantaged business enterprises (SEDBEs).

Keen Independent is recommending that the County consider two new certification programs for small businesses: ESBE certification and SEDBE certification.

Emerging small business (ESBE) certification. In certifying firms as SBEs, the County considers a business's annual revenue relative to Small Business Administration's (SBA) Size Standard for a firm's sector. SBA Size Standards are based on national data and therefore might not reflect "small" business experience in the Greater Cleveland area. For example, a highway construction firm can make \$45 million annually on average and be considered small according to SBA Size Standards.

Other agencies have attempted to address barriers for its smallest businesses by creating an emerging small business certification. ESBEs are certified using the same process as SBEs. The difference is in the size standard applied: the County might define ESBEs as businesses that have average annual revenue that is one-half (or some other fraction) of the national SBA Size Standard for their sector. A highway construction firm might then be certified as ESBE if it makes up to \$22.5 million per year on average.

Certified ESBEs would also be considered certified SBEs and eligible to participate in contracts with SBE subcontract goals. The County might also consider using the ESBE certification to develop an ESBE sheltered market component of its SBSA program.

Socially and economically disadvantaged business (SEDBE)

certification. Some groups not currently eligible for certification as MBEs or WBEs may be affected by discrimination. Keen Independent's research in other communities have identified evidence that business owners can be discriminated against based on personal characteristics such as disability status or sexual orientation, for example. The County might consider a certification process that would consider applications from small business whose owners can show social disadvantage based immutable personal characteristics of the business owner.

This certification would be for small businesses that have demonstrated, on an individual basis, both:

- Social disadvantage after evaluating a personal narrative of the effects of discrimination against the business owner based on that owner's immutable personal characteristics; and
- Economic disadvantage after considering financial detail about the firm and the business owner.

There would be no presumption of social disadvantage based on the characteristic. This certification could follow the method for certifying non-minority- or woman-owned firms under the U.S. Small Business Administration Section 8(a) Program that was in place at the time of this report. The City of New Orleans also certifies firms using this framework.

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5. Provide Adequate Resources to Effectively Operate Programs

Contract equity programs succeed when there are sufficient staff to operate them. Cuyahoga County will need to continue to provide resources for its ongoing efforts related to:

- a. Program development.
- b. Communications and outreach.
- c. Program administration.
- d. Participation in regional efforts.
- e. Comprehensive monitoring and reporting.
- f. Formal evaluation prior to sunset.

a. Program development. Keen Independent has provided a list of recommendations that the County might take into consideration as it further develops new tools and incorporates new certifications.

b. Communications and outreach. To ensure the success of programs authorized and other efforts to level the playing field for disadvantaged businesses, the County should continue to devote resources to communications and direct business outreach. Some of the business lists Keen Independent developed in this study can help marketing and communications efforts.

c. Program administration. The County should maintain sufficient staff positions for program operation, especially related to a contract goals program and other program elements.

d. Participate in region-wide efforts. The County is partnered with public agencies in the Greater Cleveland area. The County should continue fostering regional cooperation while leading efforts to involve additional agencies in joint initiatives.

e. Comprehensive reporting of utilization. The County should develop the information systems for ongoing tracking and at least annual reporting of utilization of certified firms as well as utilization of small businesses and minority- and woman-owned firms regardless of certification.

f. Formal evaluation prior to program sunset/reauthorization. About every five to six years, the County should review the effectiveness of its program and whether it continues to be needed or should be refined. This evaluation can be done cooperatively with other state and local entities.

The County should consider inviting other public agencies in Ohio to participate in a joint effort in a 2030 study to strengthen and coalesce regional efforts to assist small and diverse businesses.

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Next Steps

The County can use this disparity study to evaluate where it has been successful in leveling the playing field for minority- and woman-owned firms and all small businesses and where additional efforts are needed

- **Review the full report and other relevant information.** The County should consider information in the report and other information it has in considering next steps.
- **Perform needed legal review.** Some of the potential initiatives will require further legal review by the County.
- **Reach out to potential partners.** The County should also reach out to current and potential partners to discuss regional efforts to remedy some of the barriers identified in this disparity study. A new SEDBE certification could be a regional effort, perhaps undertaken by the County or a joint certification program.
- **Allocate staff time to start and operate the program.** New efforts, especially to address disparities in goods purchases, will require staff time to address.